

USAC

Universal Service Administrative Company

1997-2007

*Helping KEEP AMERICANS
CONNECTED for a Decade*

2007 Annual Report

What Is The USF?

The Universal Service Fund (USF) is one fund with four programs, designed to provide millions of Americans access to vital communications technology. This access has made a real difference for people and the communities in which they live across this country and its territories. The USF provides the funding for four support programs: High Cost, Low Income, Rural Health Care, and Schools and Libraries. The USF is funded by contributions from telecommunications companies in the United States, including wireless and interconnected VoIP providers.

Today, when children living on Saint Paul Island in Alaska go to school, they don't have to cross treacherous seas to get to the mainland. Through the **Schools and Libraries Program** supported by the Universal Service Fund, they have a terrific videoconferencing program that allows them access to important resources.



Today, a carrier in the high elevations of southwestern Missouri can service plant equipment damaged by frequent lightning without passing those costs on to its customers. Without the support of the **High Cost Program**, the carrier would have to raise its monthly local telephone rates.



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FROM HERE TO THERE:

Helping Connect Americans Across the Country for Ten Years

This is the ten-year anniversary of the Universal Service Administrative Company (USAC). USAC administers the Universal Service Fund (USF) and the four USF programs: High Cost, Low Income, Rural Health Care, and Schools and Libraries. These programs keep Americans connected, in low income, rural, insular, or high cost areas.

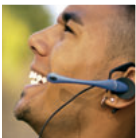
Since 1997, USAC has matured into an organization that delivers results. We have implemented FCC changes to program rules, updated processes and procedures to handle new demands, and developed a robust information technology infrastructure to process applications, receive contributions, and disburse funds efficiently, accurately, and with low administrative costs.

USAC also has been vigilant in protecting the USF from potential waste, fraud, and abuse through rigorous internal controls and by performing audits.

Near and far, Americans all over this great country are better connected to each other and the things important to them through the efforts of USAC. As technology and procedures continue to evolve, we look forward to helping keep Americans connected for years to come.



Today, a quadriplegic person in Troy, New York, has affordable, voice-activated cellular telephone service critical to his daily life. His carrier is able to charge him less due to the support from the **Low Income Program**.



Today, thanks to the support of the **Rural Health Care Program**, a hospital in Santa Rosa Beach, Florida, can use telemedicine technology to immediately evaluate stroke patients and determine if they need to be transported to a larger Pensacola facility for urgent treatment.



LETTER FROM THE CHAIRMAN AND ACTING CEO

It's hard to believe that USAC celebrated its tenth anniversary in 2007. USAC has been through many changes since 1997, and it has accomplished a great deal to advance the objectives of universal service through the four Universal Service Fund (USF) programs. We are pleased to reflect on USAC's first ten years and to report on USAC's many accomplishments in 2007.

Since its creation, USAC has gone from the drawing board to a mature organization. We successfully merged the Schools and Libraries Corporation, Rural Health Care Corporation, and USAC into a single entity effective January 1, 1999. The consolidated operation brought breadth of knowledge and depth of experience to bear on the challenges of administering the USF programs.

The impact that USAC has had since 1997 is astounding. We have disbursed over \$50 billion in support. About \$30 billion has gone to telecommunications carriers operating in remote or rural areas, some \$15 billion has been disbursed to get the nation's public and private schools and public libraries online, nearly \$7 billion has gone to help low-income consumers, and almost \$200 million has helped rural health care providers. As a result, USF beneficiaries have greater access to telecommunications and information services in their daily lives.

The Schools and Libraries Program has been instrumental in making Internet access available to nearly 100% of America's schools, 94% of individual classrooms, and 98% of public libraries. High Cost support allows companies to serve rural areas at reasonable rates—one Texas carrier, for example, says that without USAC-disbursed support it would have to charge \$61 per month instead of \$8 per month for basic telephone service. Using Rural Health Care support, telemedicine facilities in Fall River Mills, California, allow a patient to see a dermatologist within two weeks instead of the normal six-week wait for an in-person visit. Support from the Low Income Program makes a tremendous difference in the lives of elderly customers, many of whom must get by on

fixed monthly incomes.

USAC is committed to protecting the integrity of the USF and the universal service programs. We take a holistic, systemic approach to ensuring program integrity and combating waste, fraud, and abuse. This approach relies on a complex, mutually reinforcing set of tools, policies, and procedures designed to ensure program compliance at each stage of an entity's participation in USF programs. Specific efforts to ensure program integrity include training and outreach; application and invoice review and control; site visits; and audits. We are particularly proud of USAC's work with the FCC's Office of Inspector General on a large-scale audit program to assess compliance with program rules and fulfill the FCC's obligations under the Improper Payments Information Act (IPIA). In 2006-2007, independent auditors completed 459 compliance audits of universal service support mechanism contributors and beneficiaries. These audits covered contributions made to the Universal Service Fund during the 2005 calendar year as well as distributions from the fund to the program participants. These audits were conducted to determine compliance with the Universal Service Fund rules as well as to evaluate erroneous payments as defined in the IPIA.

USAC continually strives to keep administrative expenses as low as possible. In 1998, it cost \$37 million to disburse \$2.3 billion in USF support through the four programs. In 2007, it cost \$104 million to disburse \$7 billion, nearly three times the 1998 levels. Our expenses are still less than 1.5% of the dollars we collect. Not only are we doing more, we are doing it better every year.

We Have Disbursed Over 50 BILLION DOLLARS In Support

The FCC is considering making changes in all the programs and how the USF is administered. USAC welcomes these changes and is honored to have the opportunity to make a difference in the lives of USF program beneficiaries. Working with the FCC and our stakeholders, we have always been eager to help with changes designed to transform universal service from a vision into reality. In 2008, for example, we are looking forward to implementing the FCC's new Rural Health Care Pilot Program. And we stand ready to implement new changes that bring us closer to this goal. USAC's staff has shown unfailing good humor, positive energy, and a commitment to the success of the programs and the people they help. We are incredibly proud of everyone at USAC and of the accomplishments and achievements they have made.

We would like to take this opportunity to thank the 55 Board members who have served this organization during its first ten years. Their leadership, knowledge, and guidance have been instrumental in the organization's success.

USAC stands in an excellent position to build on the many achievements of 2007 and the past ten years. We look forward to another successful year in 2008 and the decades to come of bringing universal service, in all its dimensions, to Americans in every state and territory.



B. L. Talbott

Dr. Brian L. Talbott,
Chairman of the Board

D. Scott Barash

D. Scott Barash,
Acting Chief Executive Officer

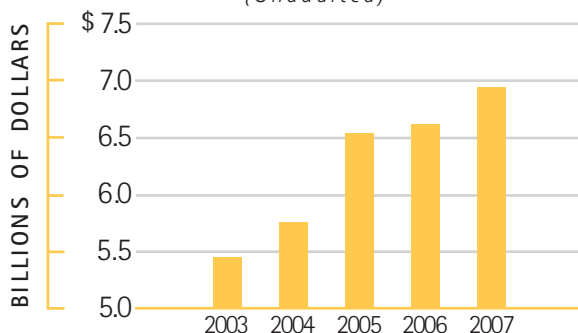


USAC Administrative Costs (Unaudited)

YEAR	ADMINISTRATIVE EXPENSES	% OF TOTAL DISBURSEMENTS
2003	\$ 58,791,000	1.07%
2004	\$ 67,349,000	1.18%
2005	\$ 85,190,000	1.31%
2006	\$ 88,588,000	1.34%
2007	\$ 104,073,000	1.49%

“USAC continually strives to keep administrative expenses as low as possible... Our expenses are still less than 1.5% of the dollars we collect. Not only are we doing more, we are doing it better every year.”

Overall USF Disbursements (Unaudited)

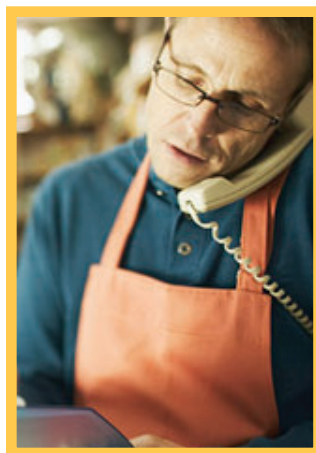


USF PROGRAM OVERVIEW

THE USF *Provides Affordable* Access to TELECOMMUNICATIONS SERVICES

USAC *administers the USF and manages its four programs—HIGH COST, LOW INCOME, RURAL HEALTH CARE, and SCHOOLS AND LIBRARIES—as required by the 1996 Telecommunications Act and regulations and orders issued by the FCC. Across the country, communities in remote or rural areas, low-income consumers, rural health care providers, and public and private schools and public libraries are eligible to receive the benefits of the USF programs.*

The High Cost Program ensures that consumers across the country have access to and pay rates for telecommunications services that are reasonably comparable to those services provided and rates paid in urban areas.



A carrier in the rural areas of Minnesota used USF support to construct its network of 340 cell sites, the only mobile service available in the area.

High Cost Program

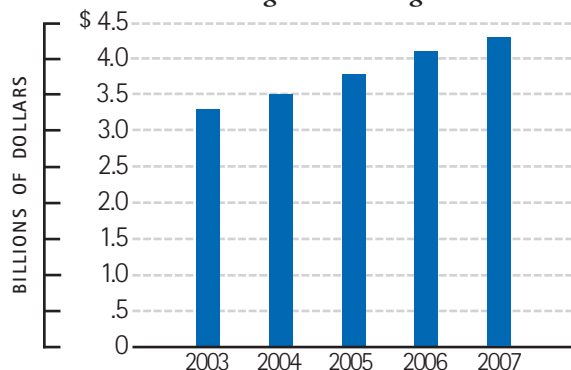


Chart represents unaudited disbursements by Calendar Year, as of December 31, 2007.

Low Income Program

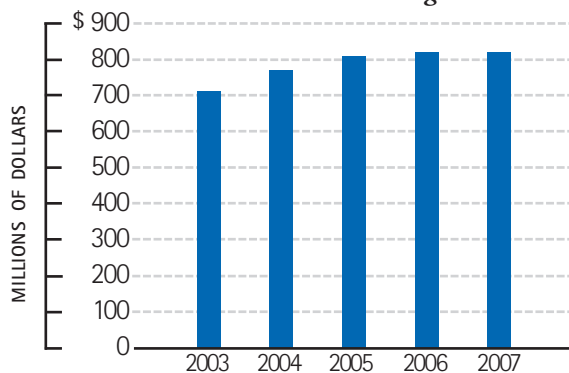


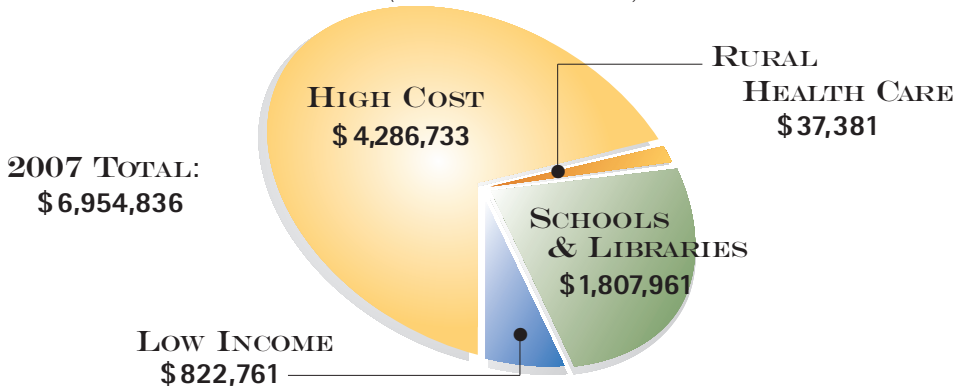
Chart represents unaudited disbursements by Calendar Year, as of December 31, 2007.

The Low Income Program, commonly known as Lifeline and Link Up, helps eligible low-income consumers establish and maintain telephone service by discounting services provided to them by local telephone companies.

The money that lower income individuals in Portland, Maine, save through Lifeline discounts allows them to maintain telephone service to contact family members and access community and emergency services.



Calendar Year
Approved Disbursements by Program
As of December 31, 2007
(Unaudited - in thousands)



The Rural Health Care Program. The FCC selected participants for the Rural Health Care Pilot Program in November 2007, dedicating over \$417 million for the deployment of

broadband health care networks. The existing program continues to provide reduced rates to rural health care providers for telecommunications necessary for the provision of health care.

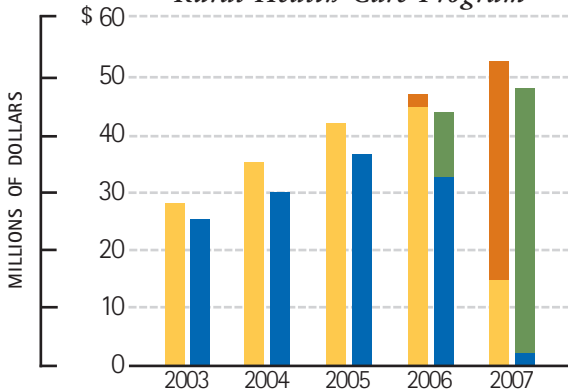
The increased bandwidth purchased with USF support allows a hospital in rural Arizona to transmit patient records electronically so that they may be accessed electronically from any location within its health care system.



The Schools and Libraries Program, commonly known as E-rate, provides discounts to help schools and libraries in every U.S. state and territory receive affordable telecommunications, Internet access, and internal connections.

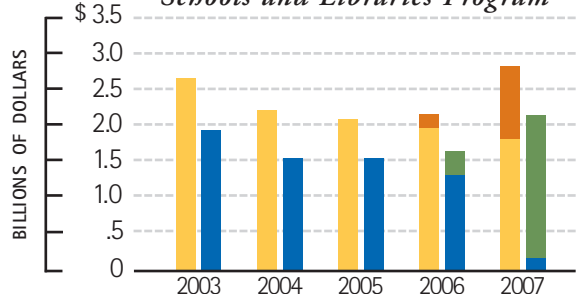
Internet access purchased with USF support helps students and staff members in Pago Pago, American Samoa, feel connected to their peers on the mainland, and has enabled the school to remain current with educational trends and requirements.

Rural Health Care Program



■ Unaudited commitments by Funding Year, as of December 31, 2007
■ Unaudited disbursements by Funding Year, as of December 31, 2007
■ Unaudited projected commitments (based on USAC historical data as of January 2008)
■ Unaudited projected disbursements (based on USAC historical data as of January 2008)
 Note: Commitments and disbursements for FY2007 are for the regular RHC program and do not include any data for the RHC Pilot Program.
 A Funding Year runs from July 1 to June 30.

Schools and Libraries Program



■ Unaudited commitments by Funding Year, as of December 31, 2007
■ Unaudited disbursements by Funding Year, as of December 31, 2007
■ Unaudited projected commitments (based on USAC historical data as of January 2008)
■ Unaudited projected disbursements (based on USAC historical data as of January 2008)
 Note: 2007 commitments include a carry over of \$640 million from previous funding years approved by the FCC.
 Note: A Funding Year runs from July 1 to June 30.

HIGH COST PROGRAM



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Making TELEPHONE SERVICES POSSIBLE *for Those in* RURAL, INSULAR, and HIGH COST AREAS

High Cost Universal Service Fund support plays an integral part in the upgrading and maintenance of rural telephone networks, allowing companies to offer telephone services to customers at rates comparable to those in urban areas.

In 2007, USAC enhanced its information systems to improve the efficiency of High Cost payments to program participants.

For example, USAC created a Local Switching Support (LSS) system in June that allows program staff to sort, adjust, and verify data automatically. Other benefits include the ability to handle complex calculations for companies that merge or are acquired, or for those that switch from average schedule status to cost company status. The ability to perform these functions using an automated

system saves time and money. In fact, these tools allow the High Cost Program to independently verify the data submitted by the more than 1,400 eligible telecommunications carriers (ETCs) that receive LSS.

USAC's High Cost and Low Income Division is developing its first High Cost online form to collect line-count data from competitive ETCs. This form will allow over 400 competitive ETCs to easily file line-count data required to calculate their support online.

HIGH COST PROGRAM

Residents in this rural area of rolling hills and river flats, with dirt roads cutting through forestland, have a mean household income of around \$20,000 a year and the nearest grocery store and hospital are nearly 20 miles away.

GEORGETOWN, MISSISSIPPI

Georgetown Telephone Company (GTC), with just three employees, is located about 40 miles south of Jackson, Mississippi, and covers 62 square miles. GTC uses High Cost support to provide service to 378 customers in rural Mississippi. Most of that support is used to maintain its outside loop plant, according to Joie Miller, general manager of GTC. “We would not be able to serve any of our customers without High Cost USF support because they would be unable to afford the resulting monthly rate,” he says. Currently, residential customers pay \$12.20 per month for local telephone service. Without USF High Cost support, the carrier estimates customers would pay \$197.38 per month.



“We would not be able to serve any of our customers without High Cost USF support because they would be unable to afford the resulting monthly rate.”

— Joie Miller, General Manager, GTC

LOW INCOME PROGRAM



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Keeping **TELECOMMUNICATIONS AFFORDABLE** *for Those Who Need IT*

The Low Income Program helps eligible low-income consumers establish and maintain telephone service. It also provides an essential link to telecommunications services in case of an emergency.

In 2007, USAC focused its outreach efforts on areas of the country where participation rates in the program were low. USAC staff members conducted training sessions in several states via conference calls with eligible telecommunications carriers (ETCs), state regulators, and other interested parties.

USAC staff members also attended a joint meeting of the FCC and members of the National Coalition of American Indians, and staffed a booth at an AARP conference in Boston, which attracted more than 26,000 attendees.

New ETC brochures were designed to explain the support components and requirements for

participating, while the new consumer brochure outlines eligibility requirements and the support available, including the federal programs that may qualify consumers for program discounts through their carriers. Also, USAC made improvements to its Low Income consumer-oriented Website, www.lifelinesupport.org, enabling carriers to post and update company-specific Lifeline and Link Up information. The Low Income Program also revised its State Commission Web page to include contact information for all states and territories. USAC continually updates this page to maintain the most accurate and updated information for consumers.

Cincinnati Bell Telephone (CBT) receives approximately \$4 million per year in

CINCINNATI, OHIO

Low Income support by providing low-income consumers with Lifeline and Link Up in the Cincinnati area.

Evelyn King, the company's regulatory specialist, provided this CBT customer's testimonial regarding the benefits of Lifeline support:

"My girlfriend and I both had medical problems that forced us to miss work last year. When the medical bills started piling up, my home phone services were disconnected. I tried using a cell phone, but it wouldn't always work from my home. I was missing calls from my doctor about appointments and medication. Lifeline is a big help in getting us on the right track. My girlfriend is back at work, and with Lifeline, we can afford a home telephone again. It is a big relief now to know that I can reach someone right away if there is a problem!"



“With my bad heart, I need service that is available at a moment's notice.”

— Ralph, a Lifeline customer in Cincinnati

RURAL HEALTH CARE PROGRAM



Connecting HEALTH CARE PROVIDERS to *Keep* RURAL AMERICA Healthy

With Rural Health Care support, medical professionals can deliver health care to America's rural and underserved communities more quickly and proficiently—and with real cost-savings.

By helping health care providers pay for telecommunications and Internet services, the Rural Health Care Program reduces expenses and travel time for consumers, helps decrease medical errors, and enables health care providers to quickly share critical patient-care information electronically.

USAC is responsible for reviewing and processing eligible health care providers' applications for support, ensuring compliance with program rules, and issuing commitments. In Funding Year 2006, which ended June 30, 2007, over 5,890 applications were filed, and for Funding Year 2007, over 1,900 were filed through December 31, 2007.

To promote participation in 2007, USAC hosted the Federal Joint Working Group on Telemedicine, and program representatives spoke to audiences

such as the Great Plains Telehealth Conference in Nebraska, the National Rural Health Association Rural Health Policy Institute in Washington, the American Telemedicine Association Annual Meeting in Tennessee, and the Rural Telecommunications Congress meeting in Illinois.

Exciting growth awaits the Rural Health Care Program in 2008 and beyond, as the FCC announced the launch of its \$417 million Rural Health Care Pilot Program in November.

The program will support construction of 69 statewide or regional broadband telehealth networks in 42 states and three U.S. territories. In support of this program, USAC is preparing training conferences, educational materials, procedures, and a pilot program Website.

According to information systems manager Roger Estelle, Universal Service Fund

KODIAK, ALASKA

support has "revolutionized telehealth services" at the Kodiak Area Native Association (KANA), in Kodiak, Alaska.

Mr. Estelle notes that telemedicine allows specialists and physicians to remotely access patient records and review cases prior to consultation. There used to be a "six to nine month wait to [see] an ear specialist," says Mr. Estelle. "Telemedicine has reduced patient wait times to two weeks and has reduced travel costs, since many patient visits can be conducted remotely." For example, a physician in Anchorage was able to assist a health aide in Kotzebue perform a surgery when severe weather made air travel impossible.

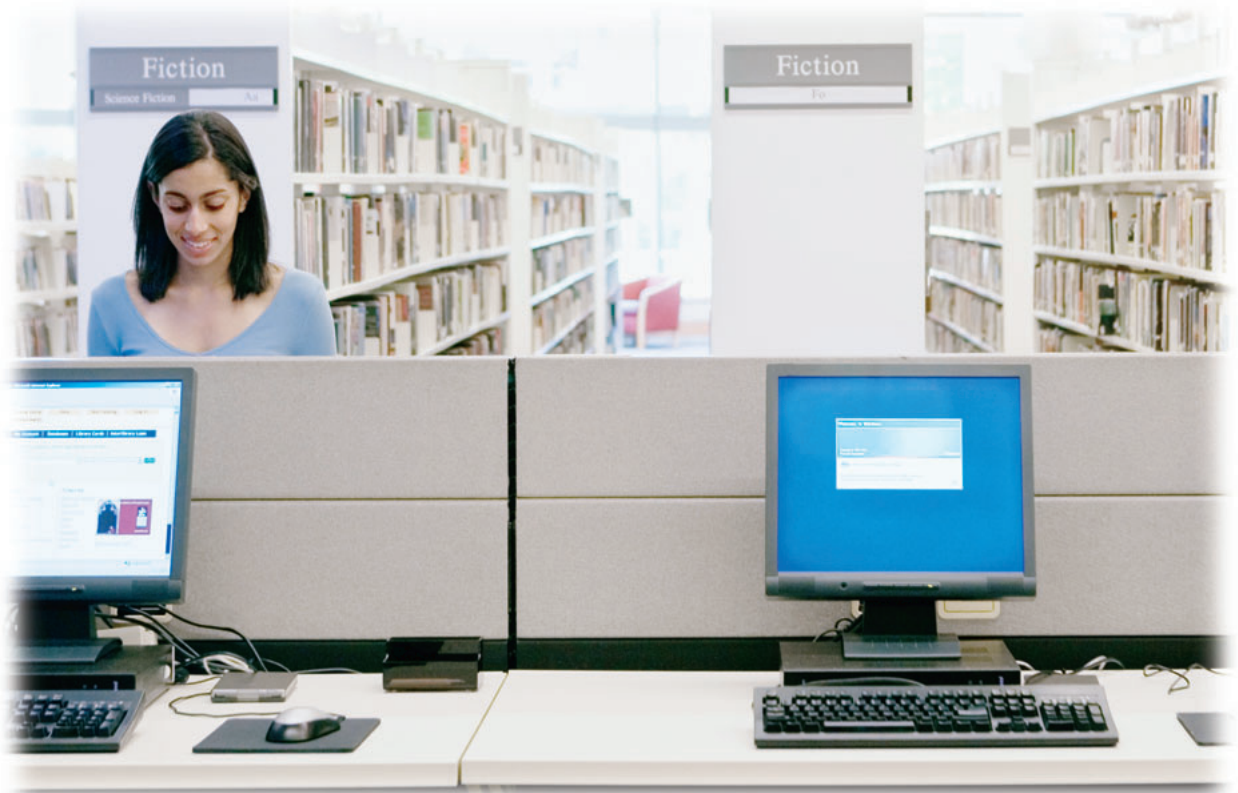
Without USF support, the KANA would be forced "to revert back to dial-up," adds Mr. Estelle. "For the KANA to continue providing the same level of patient care, the Indian Health Service would have to increase its level of support, and that cost burden would shift to patients."



“[Without Universal Service Fund support,]...it would be difficult to afford even the smallest connection between the villages and the KANA.”

— Roger Estelle, Information Systems Manager, Kodiak Area Native Association (KANA)

SCHOOLS AND LIBRARIES PROGRAM



Launching NEW OUTREACH EFFORTS to Help SCHOOLS and LIBRARIES Succeed

The Schools and Libraries Program, commonly known as E-rate, increases opportunities for learning for all Americans. Administered by USAC, the program helps schools and libraries acquire essential access to telephone and Internet access equipment and services.

In 2007, USAC focused on implementing several FCC orders that improved program procedures and led to more successful applications. In addition, a major USAC initiative increased outreach and education to applicants and service providers, including “Helping Applicants to Succeed” (HATS) where nearly 100 visits were made to applicants in order to provide personal assistance with the application process.

USAC conducted seven two-day regional trainings in the fall for applicants and service providers with the theme, “Back to the New Basics.”

Approximately 1,400 people attended the sessions, which focused on guiding applicants and service providers successfully through the application process.

Additionally, USAC conducted two one-day training sessions for service providers, focusing on the application process from their perspective. Nearly 200 service providers attended each session.

In 2007, USAC also implemented process improvements, including procedural improvements that reduced average invoice processing time by 40%.

Grant Yamamoto,
network specialist with
the Pahoia Elementary
School (PES) in
PAHOIA, HAWAII

Pahoia, Hawaii, says that
Universal Service Fund
support has enabled the
school to install a fast,
reliable infrastructure.

Without E-rate assistance, Pahoia Elementary would not be able to afford their current level of technology, and the connectivity speed would be significantly less. "Now, the school is directing funds toward upgrading the computer lab, and the infrastructure allows us to use it to its fullest extent," says Mr. Yamamoto. "Teachers are able to incorporate more information, resources, and technology into the curriculum," he observes.

USF support has also enabled the school to provide Internet access to its students, where fewer than 25% of the students have Internet access at home. In fact, many of the students at the PES live in homes that lack electricity, cable, and telephone services. "The valedictorian of the Pahoia High School in 2006 had no electricity at home and had to study by candlelight," says Mr. Yamamoto.



“Teachers are able to
incorporate more information,
resources, and technology into
the curriculum.”

— Grant Yamamoto, Network Specialist, Pahoia Elementary School

COMPREHENSIVE AUDITING



PROTECTING *the* INTEGRITY *of the* USF

Protecting the USF is something we take very seriously. In mid-2006 and into 2007, independent auditors, with oversight by the FCC's Inspector General, conducted 459 audits of program beneficiaries and contributors to ensure compliance with the Improper Payments Information Act (IPIA).

USAC staff spent over 8,000 hours working with its audit firms conducting compliance attestation audits, which are focused on measuring the overall compliance with rules by USF participants. Another goal was to ensure that payments made to beneficiaries were proper and that each company contributed correctly to the USF. USAC was able to deliver 99% of the data requested by the FCC's Office of Inspector General by August 2007.

The results from these IPIA audits show that USF programs experience erroneous payment rates that exceeded the required statutory rate of 2.5%. For the Rural Health Care Program the erroneous payment rate was 20.6%, and the erroneous pay-

ment amount was \$4.45 million. For the High Cost Program the erroneous payment rate was 16.6%, and the erroneous payment amount was \$617.8 million. For the Schools and Libraries Program the erroneous payment rate was 12.9%, and the amount of erroneous payments was \$210 million. The Low Income Program had an erroneous payment rate of 9.5%, and the amount of erroneous payments was \$75.5 million. The Contributor Program erroneous payment rate was 5.5%, and the erroneous payment amount was \$385 million. Total erroneous payments were approximately \$1.3 billion. All results are from IPIA Audits on disbursement year 2005, and disbursements in 2005 were \$6.1 billion. All results

Assessment of USAC Contractors

Contractor/Vendor	Description of Work	Procurement Method
BearingPoint, Inc.	Site Visits	Competitive Bid
KPMG LLP	Audits	Competitive Bid
LaSalle Bank Corp.	Banking Services	Competitive Bid
Solix, Inc.	Schools, Libraries & Rural Health Care Support	Competitive Bid
Telcordia Technologies, Inc.	High Cost & Low Income Support	Competitive Bid

In 2007, USAC contracted with BearingPoint, Inc.; KPMG LLP; LaSalle Bank Corp.; Solix, Inc.; and Telcordia Technologies, Inc. for provision of major services associated with managing the USF and the universal service programs. All performed the tasks associated with their respective contracts in a satisfactory manner.

were obtained from statistically valid random sampling that conform to OMB guidelines. That is LI, HC, and SL were random samples designed to measure erroneous payments and to meet a +/- 2.5% margin of error required by OMB. Except for LI, estimated margins of error exceeded OMB's 2.5% requirement. Simple random samples were selected for both RHC and Contributor Programs, given that the programs were a priori considered not at risk. For both RHC and Contributor Programs simple random samples were drawn to test compliance of beneficiaries with FCC Rules. For Contributors the margin of error for the rate of erroneous payments was, however, 3.06% at a 95 percent confidence level and 2.49% at a 90% confidence level. The margin of error for the RHC program exceeded the OMB requirement of 2.5%.

The USAC Internal Audit Division (IAD) also conducted more outreach in 2007, visiting such conferences as the New York State Telecommunications Association, the Telephone Accountants Service Klub of Kansas, the Telergee CFO & Controllers Conference in Monterey, California, and the National Telecommunications Cooperative Association's Finance & Accounting Conference in Boston.

USAC is obligated to protect the integrity of the

USF and has an extensive system of internal controls designed to detect potential waste, fraud, and abuse of program funds. USAC provides a whistleblower hotline for reporting allegations of misapplied program funds or potential program rule violations. USAC also conducts random and targeted audits of the four USF program participants and program contributors.

COLLECTIONS

USAC works hard to ensure that all contributors remain current in their contribution payments. USAC monitors contributors to ensure compliance with filing and contribution requirements. USAC works closely with the FCC to address contributors that are delinquent in their revenue reporting or contribution requirements. Among other activities, USAC provides the documentation required to support the FCC in its enforcement and compliance efforts.

2007 Service Provider Participation

Program	Service Providers
High Cost	1,917 eligible telecommunications carriers
Low Income	1,701 eligible telecommunications carriers
Rural Health Care	408 service providers* (telecom and Internet access)
Schools and Libraries	4,286 service and equipment providers*

Service provider participation continues to be positive and competitive. Currently, there are over 21,000 service provider identification numbers (SPINs - the nine digit number assigned to service providers participating in universal service programs), equating to more than 6,500 service providers that actively participate in the universal service support mechanisms. These service providers include local and interstate telecommunications companies, Internet service providers (ISPs), and various internal connections contractors.

*Note: As of December 31, 2007. *Based on receipt of invoice payment in 2007.*

FINANCE DIVISION



Working Hard to **IMPROVE OUTREACH, COLLECTION, and DISTRIBUTION**

In 2007, USAC's Finance Division made improvements to its collections and disbursements processes and implemented several FCC-mandated changes. Outreach materials were sent to companies requiring fund recoveries, informing them of their rights and obligations under the Red Light rule and the Debt Collection Improvement Act.

In addition, the processing of the annual contributor reporting form was enhanced by a new, automated system developed to conduct checks on nearly 70 data points reported on the form. The system compares current filings to prior periods and to common reporting mistakes, and then generates automated outreach e-mail messages and letters to inform contributors of potential reporting mistakes. In July, the customer service team implemented an outreach process to confirm the validity of each service provider's status as a telecommunications provider. This process allows USAC to

better ensure that funds for telecommunications services are distributed appropriately.

In November, the FCC approved USAC's selection for a vendor to begin the requirements stage of a financial systems modernization project designed to procure and install a U.S. Government Financial Systems Integration Office-certified core financial system.

With dedicated staff members and thoughtful improvements, USAC will continue its responsible management of the USF assets.

INFORMATION TECHNOLOGY



Developing **BETTER** **TOOLS** *for* **GREATER EFFICIENCIES**

USAC'S *Information Technology (IT) staff completed a number of projects that continue to help us keep administrative costs down by enhancing our work processes and our operational accuracy.*

In January 2007, USAC implemented an automated purchase order management system that was integrated into USAC's general ledger accounting system to automatically check vendor invoices against budgeted funds prior to issuing payment. This capability ensures that USAC does not make a payment for goods or services beyond the approved amount in the associated purchase order or contract.

In May, USAC implemented automated document management to streamline the processing of vendor contracts. An important feature allows automated notification to business owners when a contract is set to expire, so that appropriate action

can be taken.

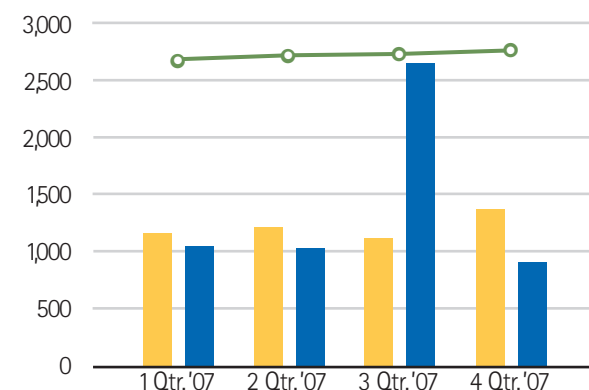
USAC IT also developed a Web-based tool to provide the Funding Threshold Analysis for calculating the lowest discount level that can be funded in the Schools and Libraries Program in a given funding year. The tool provides current information on net commitments, denial rates, and applications remaining under review, and provides the basis for USAC's recommendations to the FCC concerning the Priority 2 services discount levels that can be funded in the Schools and Libraries Program. Staff can now produce an analysis in a matter of minutes after each funding wave, with more accuracy and precision.

PERFORMANCE MEASURES

Evaluating PROGRAMS and ADMINISTRATION While Ensuring HIGH STANDARDS

USAC is required to provide the FCC with data and performance information on a quarterly basis pursuant to a memorandum of understanding signed in June 2007. USAC submits performance information on its administration of the Universal Service Fund as well as the four USF programs.

USF Contributor Statistics

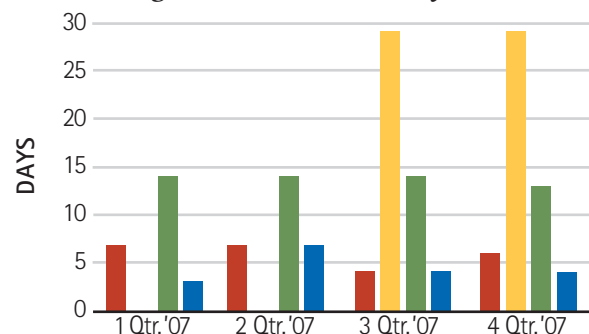


— USF Contributors- Number of unique FCC Form 499 filer identification numbers.

— Delinquent Contributors- Number of unique filer identification numbers with a contribution receivable balance that is more than 90 days delinquent, is currently referred to the FCC for collection purposes, under a payment plan agreement, or in bankruptcy protection as of the quarter end.

— Contributors Assessed Late Fees or Penalties- Number of unique filer identification numbers for whom a net late filing fee or late payment fee was assessed in the quarterly reporting period due to failure to meet required deadlines for filing the FCC Form 499 or paying the monthly USAC invoice by the due date.

Average Time to Process Payments



— High Cost- Average number of calendar days between the last day a support request filed by a carrier is entered into USAC's payment system and the day that each disbursement is authorized during the quarterly reporting period.

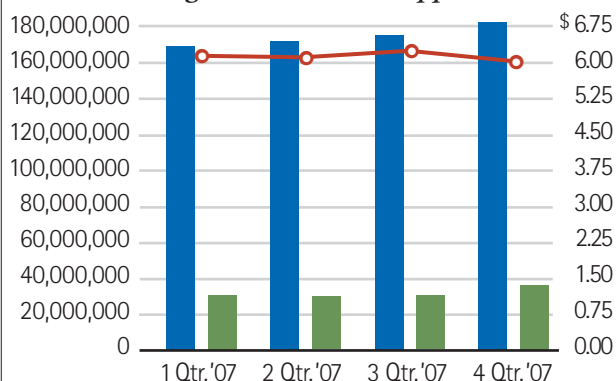
— Low Income- Average number of calendar days between the last day that support claims filed by carriers are entered into USAC's payment system and the day that each disbursement is authorized during the quarterly reporting period.

— Rural Health Care- Average processing time in calendar days for all invoices (denied and approved) processed for the current (Funding Year 2006) and immediate prior funding years.

— Schools & Libraries- Average processing time in calendar days for all invoice line items (denied and approved) processed during the reporting period for the current and immediate prior funding years.

Note- USAC did not collect this Low Income data in 1Qtr. and 2 Qtr. 2007.

High Cost Program Lines Supported with Average and Median Support Amounts

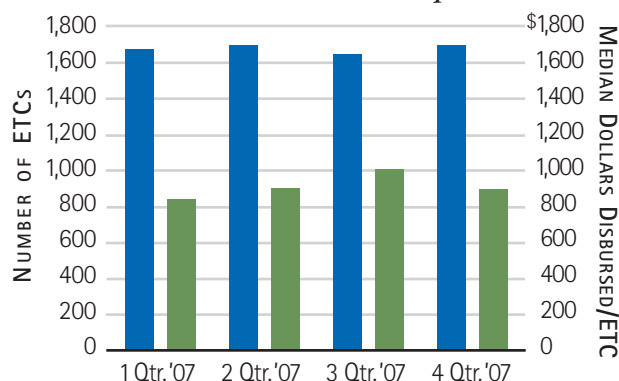


— Total Supported Lines- The sum of the number of lines or loops for all study areas where beneficiaries received support greater than \$0.

— Average Support Dollars/Line- The average (mean) dollar amount of support for each line based on the total ETC study area code projected support for all High Cost components, divided by the total number of lines or loops reported by the ETC SACs for the period where support is greater than \$0.

— Median Support Dollars/Line- The median dollar amount of support for each line based on the distribution of all ETC study area code per line rates, based on total projected support for all components divided by the total number of lines or loops reported by the ETC SACs for the period where support is greater than \$0.

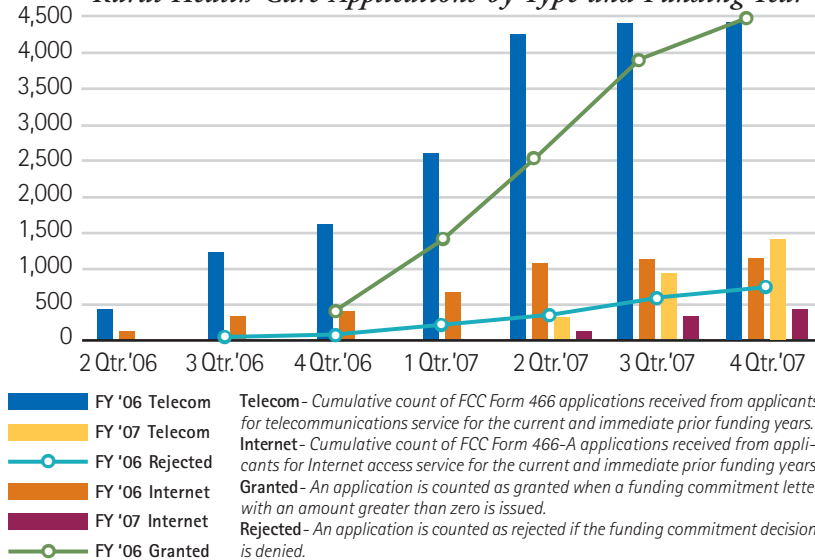
Low Income Program Median Dollars Disbursed per ETC



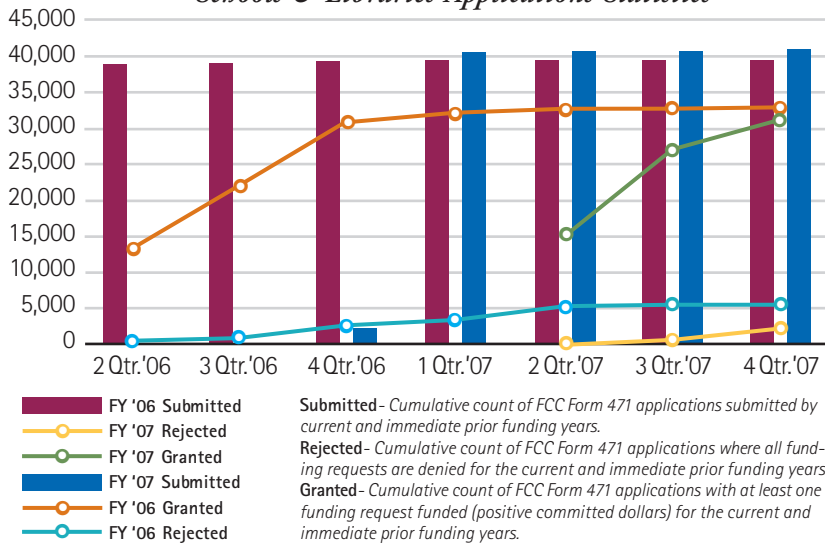
— ETCs- Number of carriers that received Low Income support in at least one Study Area for which Low Income support was authorized for disbursement in at least one month during the quarterly reporting period.

— Median Dollars Disbursed per ETC- Median monthly Low Income support amount authorized for disbursement by carrier during the quarterly reporting period. The dollar amount disbursed used in the calculations includes disbursements for Lifeline Tiers 1-4, Link Up and TLS support.

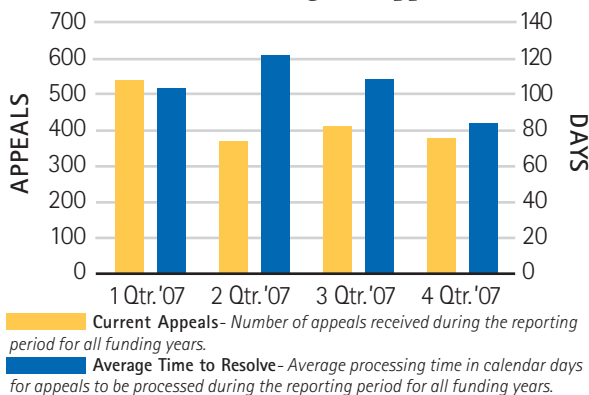
Rural Health Care Applications by Type and Funding Year



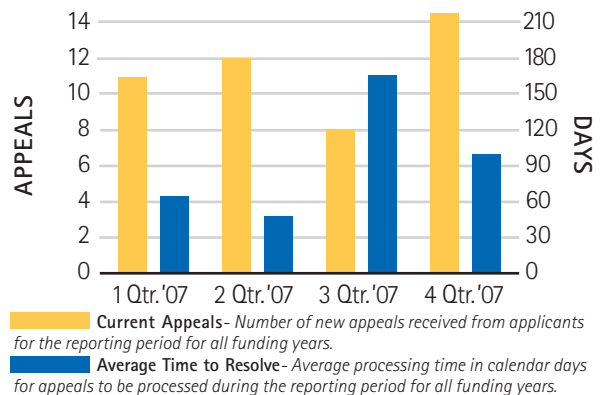
Schools & Libraries Applications Statistics



Schools & Libraries Program Appeals Statistics



Rural Health Care Program Appeals Statistics



CONTRIBUTIONS TO THE USF—

In June 2006, the FCC made interim modifications to the existing approach for assessing contributions to the federal USF in order to provide stability while it examined long-term options. The FCC raised the interim wireless safe harbor from 28.5% to 37.1% and required interconnected Voice-Over-Internet Protocol (VoIP) providers to contribute to the USF. USAC implemented the order in time for contributors' quarterly filings due August 1.

MANAGEMENT DISCUSSION AND ANALYSIS

The FCC, in two orders in CC Docket Nos. 96-45 and 97-21, released May 8, 1997 and November 20, 1998, respectively, determined that the Universal Service Administrative Company (USAC) should serve as the permanent administrator of the Universal Service Fund (USF) and the high cost, low income, rural health care, and schools and libraries universal service support programs, collectively referred to as the “Support Programs,” governed by Section 254 of the Communications Act of 1934, as amended. USAC was incorporated as an independent not-for-profit company in 1997. The USAC Board of Directors consists of independent directors representing a cross-section of telecommunications industry representatives who are stakeholders in the USF.

The USF and the Support Programs exist to achieve the goals of Section 254 by promoting the availability of quality services at just, reasonable, and affordable rates; increasing access to advanced telecommunications and information services throughout the nation; advancing the availability of such services to all consumers, including low-income consumers and those in rural, insular, and high-cost areas at rates that are reasonably comparable to those charged in urban areas; and providing schools, health care providers, and libraries access to advanced telecommunications services.

The mission of USAC is to efficiently and effectively administer the USF and the Support Programs in accordance with FCC oversight by:

- Collecting and disbursing funds,
- Ensuring fund integrity and accountability,
- Communicating with stakeholders.

USAC performs billing, collection, and disbursement functions for all of the Support Programs. USAC also collects information regarding contributing entities and end-user telecommunications revenues, and submits projections of demand, administrative

expenses for the Support Programs, and quarterly universal service contribution data to the FCC.

The functions of USAC also include, but are not limited to: development of applications and associated instructions as needed for the Support Programs; administering the application process to ensure compliance with FCC rules and regulations; creating and maintaining a website and related operational infrastructure for such processes; performing outreach and public education functions; authorizing audits of telecommunications companies, schools, libraries, and rural health care providers; and development and implementation of other functions unique to the Support Programs.

Funds collected by USAC from required contributors to the USF are restricted as to their intended use related to the Support Programs discussed above. Accordingly, such funds have been reflected as assets held for the Federal USF and liabilities related to assets held for the Federal USF in the accompanying statements of financial position. Available funds are maintained and invested by USAC. Unaudited financial data for 2007 have been presented for comparative and dis-

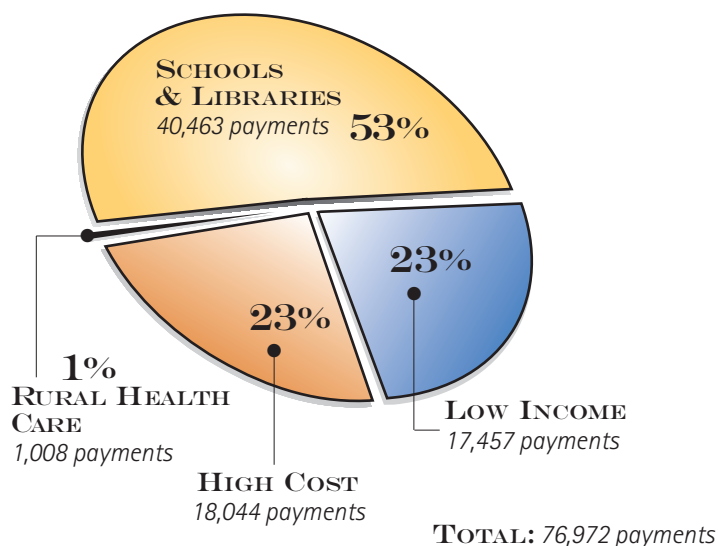
cussion purposes only.

OVERVIEW OF FINANCIAL DATA

The accompanying unaudited financial statements and tables are the responsibility of USAC management and reflect all necessary adjustments and reclassifications that are necessary for fair presentation of the period presented. The results for the year ended December 31, 2007 are not considered to be final until the 2007 financial statement audit is completed by our independent auditors. These unaudited financial statements and tables should be used in conjunction with the audited financial statements and the notes thereto for the years ended December 31, 2006 and 2005 included herein.

Expenditures by the USF have continued to grow. In continuing to serve its mission, USAC has been growing as a company. Over the past three years, USAC increased its staff size to meet the increasing demands of administering the USF and the Support Programs. For the years ended December 31, 2005 and 2006, USAC employed a total of 143 and 164 employees, respectively, for an increase of 15%. At December 31, 2007, employees

2007 USF Payments by Type (Unaudited)



general and administrative expenses are estimated to be \$36,044,000, for an increase over 2006 spending of \$11,594,000, or 47%. The increase from 2006 to 2007 is predominately due to costs associated with implementing a large-scale USF audit program pursuant to direction from the FCC's Office of Inspector General to perform a total of 460 support program beneficiary and contributor audits.

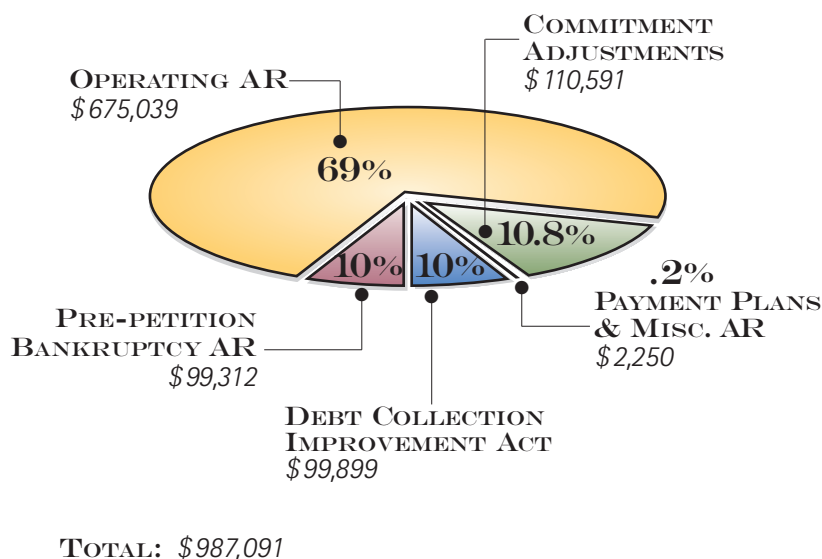
Lastly, Support Program contractual expenses have seen a modest increase over the past three years. For the years ending December 31, 2005 and 2006, Support Program contractual expenses were \$46,408,000 and \$46,659,000, respectively, for an increase of \$251,000, or 0.6%. During 2007, Support Program contractual expenses increased to an estimated \$47,468,000, for an increase of \$809,000, or 1.7%. Support Program contractual expenses include direct

totalled 196, for an increase of 20% over 2006. This staffing increase is due, in large part, to expanded audit and Information Technology (IT) initiatives; the expansion of the external relations team to coordinate education and communication efforts across the Support Programs; and the addition of an experienced purchasing manager to centralize and coordinate USAC's procurement activities, thereby making significant improvements to the procurement process in 2007.

Accordingly, personnel costs have increased over the past three years as well. For the years ended December 31, 2005 and 2006, personnel costs were \$13,582,000 and \$15,893,000, respectively, representing an increase of 17%. For the year ended December 31, 2007, projected personnel costs are approximately \$17,985,000, for an increase over 2006 spending of \$2,092,000, or 13%. Personnel costs include wages, employee benefits, and corporate payroll tax liabilities.

Overall general and administrative expenses increased from \$24,230,000 at December 31, 2005, to approximately \$24,450,000 at December 31, 2006, for an increase of \$220,000, or 1%. At December 31, 2007, projected

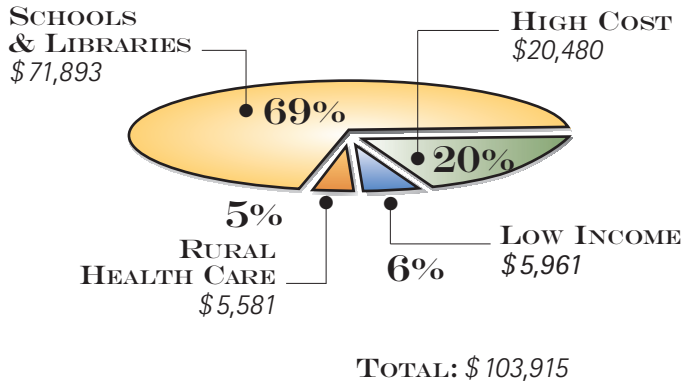
Accounts Receivable by Receivable Type (Unaudited - in thousands)



At December 31, 2007, Accounts Receivable accounted for 17% of total assets, up from 16% at December 31, 2006. The balance in Accounts Receivable of \$987,091 is a 19% increase over the December 31, 2006 Accounts Receivable balance of \$830,941. The chart above represents the different components of Accounts Receivable at December 31, 2007.

2007 Use of Administrative Resources by Support Programs

(Unaudited - in thousands)



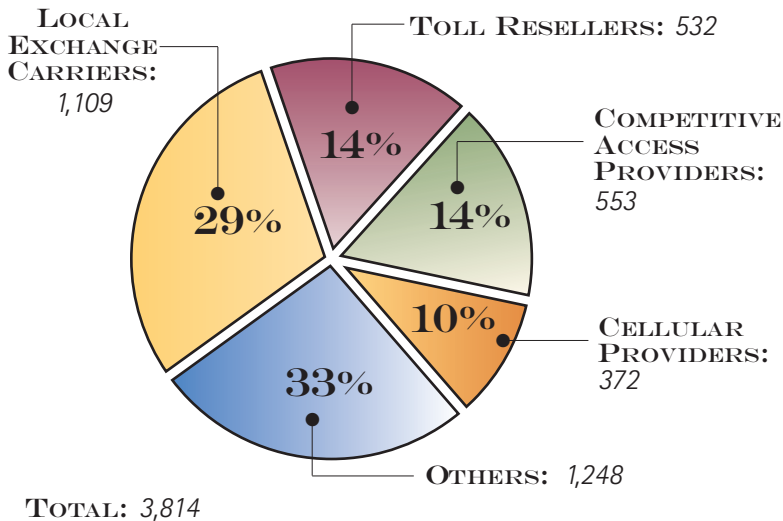
The chart above displays the use of all administrative resources for 2007 in terms of support program usage. These figures represent a 5% increase in the administrative resources used by the Schools and Libraries Program, and a 49% increase in administrative resources used by the Rural Health Care Program. Percentages of administrative costs used by the Low Income and High Cost Programs changed significantly in 2007, with increases of 60% and 67%, respectively.

program administration fees and contract changes to those administration fees.

The overall purpose of the increased staffing and ancillary costs noted above is to ensure that USAC is able to continually improve its efficiency and effectiveness as administrator of the USF and the Support Programs. In 2007, USAC's efforts demonstrated its financial reliability and integrity and helped to establish USAC as a partner with the FCC to provide accurate, timely, and reliable financial data related to USAC and the USF and the Support Programs.

2007 Average Monthly Invoices by Primary Contributor Type

(Unaudited)



Contributions 2007 Year in Review—In 2007, the USAC Finance Billing Team processed 100% of the approximately 46,000 contributor invoices on time. The chart above depicts the 2007 breakdown of monthly invoices by contributor type.

Statement of Financial Position of USAC for the Year Ended December 31, 2007

(unaudited • in thousands)

	2007
ASSETS	
Current Assets:	
Cash	\$ 4,687
Prepaid expenses and other current assets	151
Assets held for the Federal USF	5,707,359
Total current assets	5,712,197
FIXED ASSETS, less accumulated depreciation and amortization of \$5,437	6,930
OTHER ASSETS	122
TOTAL	\$ 5,719,249
LIABILITIES AND UNRESTRICTED NET ASSETS	
Current Liabilities:	
Accounts payable and accrued expenses	\$ 4,913
Payable to the Federal USF	6,977
Liabilities related to assets held for the Federal USF	5,707,359
Total current liabilities	5,719,249
COMMITMENTS AND CONTINGENCIES	—
UNRESTRICTED NET ASSETS	—
TOTAL	\$ 5,719,249

Statement of Operations and Change in Unrestricted Net Assets of USAC for the Year Ended December 31, 2007

(unaudited • in thousands)

	2007
REVENUE:	
Contract revenue	\$ 104,073
Total revenue	104,073
OPERATING EXPENSES:	
Contractual expenses	47,468
Personnel and related expenses	17,985
General and administrative	36,045
Depreciation and amortization	2,575
Total operating expenses	104,073
NET INCOME	—
UNRESTRICTED NET ASSETS—Beginning of year	—
UNRESTRICTED NET ASSETS—End of year	\$ —

Statement of Cash Flows of USAC for the Year Ended December 31, 2007
(unaudited • in thousands)

	2007
CASH FLOWS FROM OPERATING ACTIVITIES:	
Cash received from the Federal USF and other vendors	\$ 104,666
Cash paid for operating expenses and employees	(101,667)
Interest received	336
Net cash provided by operating activities	\$ 3,335
CASH FLOWS FROM INVESTING ACTIVITIES:	
Cash paid for fixed assets	(4,914)
DECREASE IN CASH AND CASH EQUIVALENTS	(1,580)
CASH AND CASH EQUIVALENTS—Beginning of year	6,267
CASH AND CASH EQUIVALENTS—End of year	\$ 4,687
RECONCILIATION OF NET INCOME TO NET CASH (USED IN) PROVIDED BY OPERATING ACTIVITIES:	
Net income	\$ —
Adjustments to reconcile net income to net cash provided by operating activities:	
Depreciation and amortization	2,191
Changes in operating assets and liabilities:	
Increase in prepaid expenses and current assets	(91)
Decrease in other assets	—
Increase in assets held for the Federal USF	(381,570)
Increase in payable to the Federal USF	1,020
Increase in accounts payable and accrued expenses	215
Increase in liabilities related to assets held for the Federal USF	381,570
NET CASH PROVIDED BY OPERATING ACTIVITIES	\$ 3,335

***Combining Supplemental Schedule of Assets and Liabilities
Applicable to the Federal USF for the Year Ended December 31, 2007***
(unaudited • in thousands)

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ASSETS:					
USF cash and cash equivalents	\$ (555,665)	\$ 374,107	\$ 133,318	\$ 135,513	\$ 87,273
Investments	4,921,665	—	—	—	4,921,665
Receivables	355,779	520,762	100,754	9,796	987,091
Allowance for doubtful accounts	(153,222)	(116,952)	(23,537)	(2,983)	(296,694)
Other assets	—	—	—	—	—
Interest receivable	7,381	280	460	(97)	8,024
Assets held for the Federal USF	4,575,938	778,197	210,995	142,229	5,707,359
Receivable from USAC	(18,025)	24,662	3,812	(3,472)	6,977
TOTAL	\$ 4,557,913	\$ 802,859	\$ 214,807	\$ 138,757	\$ 5,714,336
LIABILITIES:					
Payable to service providers	\$ 23,670	\$ 8,568	\$ 2,604	\$ 5	\$ 34,847
Payable to contributors	6,392	13,938	2,805	356	23,491
Disbursements in transit	—	—	—	—	—
Accrued liabilities	—	373,085	67,049	—	440,134
TOTAL	\$ 30,062	\$ 395,591	\$ 72,458	\$ 361	\$ 498,472

Note—This schedule reflects the assets and liabilities applicable to Federal USF at December 31, 2007 for each of the Support Programs.

***Combining Supplemental Schedule of Changes in Assets and Liabilities
Applicable to the Federal USF for the Year Ended December 31, 2007***
(unaudited • in thousands)

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 1,971,189	\$ 4,412,137	\$ 775,973	\$ 150,920	\$ 7,310,219
Interest income	200,189	20,675	9,716	5,315	235,895
Total additions	2,171,378	4,432,812	785,689	156,235	7,546,114
DEDUCTIONS:					
Amount paid and due to service providers	1,760,924	4,292,626	821,522	36,842	6,911,914
Allowance for doubtful accounts	27,911	19,442	510	2,268	50,131
Operating expenses	71,345	16,518	6,272	7,214	101,349
Unrealized/realized gain or loss	—	—	—	—	—
Total deductions	1,860,180	4,328,586	828,304	46,324	7,063,394
CHANGES IN ASSETS AND LIABILITIES	\$ 311,198	\$ 104,226	\$ (42,615)	\$ 109,911	\$ 482,720

Note—This schedule reflects the changes in assets and liabilities applicable to Federal USF for the year ended December 31, 2007 for each of the Support Programs.

Combining Supplemental Schedule of Cash Flows
Applicable to the Federal USF for the Year Ended December 31, 2007
(unaudited • in thousands)

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 1,978,196	\$ 4,365,982	\$ 764,101	\$ 146,197	\$7,254,476
Interest received	247,209	(21,255)	32,552	(8,416)	250,090
Cash paid to service providers	(1,825,526)	(4,300,974)	(824,584)	(38,213)	(6,989,297)
Cash paid for administrative costs	(64,779)	(24,491)	(7,112)	(5,238)	(101,620)
Net cash provided by (used in) operating activities	\$ 335,100	\$ 19,262	\$ (35,043)	\$ 94,330	\$ 413,649
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of investments	9,398,862	—	—	—	9,398,862
Purchase of investments	(9,784,855)	—	—	—	(9,784,855)
Net cash used in investing activities	(385,993)	—	—	—	(385,993)
DECREASE (INCREASE) IN CASH EQUIVALENTS	(50,893)	19,262	(35,043)	94,330	27,656
CASH AND CASH EQUIVALENTS:					
Beginning of year	(482,468)	372,036	146,287	23,762	59,617
End of year	\$ (533,361)	\$ 391,298	\$ 111,244	\$ 118,092	\$ 87,273
RECONCILIATION OF NET INCOME PROVIDED BY CASH FROM OPERATING ACTIVITIES:					
Net income	\$ 311,198	\$ 104,226	\$ (42,615)	\$ 109,911	\$ 482,720
Adjustments to reconcile net income to net cash provided by (used in) operating activities:					
Bad debt expense	27,911	19,442	510	2,268	50,131
Changes in operating assets and liabilities:					
Decrease (increase) in interest receivable	3,192	1,620	357	282	5,451
Decrease (increase) in amortized discount	8,564	—	—	—	8,564
Decrease (increase) in accounts receivable	(50,069)	(80,194)	(20,911)	(4,976)	(156,150)
Decrease (increase) in receivable from USAC	9,132	(10,990)	(1,481)	2,319	(1,020)
Decrease (increase) in other assets	130,000	—	—	—	130,000
Increase (decrease) in liabilities	(131,754)	21,927	3,533	247	(106,047)
NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES:	\$ 308,174	\$ 56,031	\$ (60,607)	\$ 110,051	\$ 413,649

Note—This schedule reflects the cash flows applicable to Federal USF for the year ended December 31, 2007 for each of the Support Programs.



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INDEPENDENT AUDITORS' REPORT ON FINANCIAL STATEMENTS AND ADDITIONAL SUPPLEMENTAL SCHEDULES

To the Board of Directors of
Universal Service Administrative Company
Washington, D.C.

We have audited the accompanying statements of financial position of Universal Service Administrative Company (a Delaware corporation) (the "Company" or "USAC") as of December 31, 2006 and 2005, and the related statements of operations and change in unrestricted net assets, and cash flows for the years then ended. These financial statements are the responsibility of the management of USAC. Our responsibility is to express an opinion on these financial statements based on our audit.

We conducted our audits in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free of material misstatement. An audit includes consideration of internal control over financial reporting as a basis for designing procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control over financial reporting. Accordingly, we express no such opinion. An audit also includes examining, on a test basis, evidence supporting the amounts and disclosures in the financial statements, assessing the accounting principles used and significant estimates made by management, as well as evaluating the overall financial statement presentation. We believe that our audits provide a reasonable basis for our opinion.

In our opinion, such financial statements present fairly, in all material respects, the financial position of the Company, as of December 31, 2006 and 2005, and the changes in its net assets and the cash flows for the years then ended in conformity with accounting principles generally accepted in the United States of America.

Our audits were conducted for the purpose of forming an opinion on the basic financial statements taken as a whole. The additional supplemental schedules listed in the table of contents are presented for the purposes of additional analysis and are not a required part of the basic financial statements. These schedules are the responsibility of the Company's management. Such schedules have not been subjected to the auditing procedures applied in our audits of the basic financial statements and, accordingly, we express no opinion on them.

In accordance with *Government Auditing Standards*, we have also issued our report dated June 25, 2007, on our consideration of USAC's internal control over financial reporting and our tests of its compliance with certain provisions of laws and regulations. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* and should be considered in assessing the results of our audit.

June 25, 2007

Member of
Deloitte Touche Tohmatsu

Statements of Financial Position · As of December 31, 2006 and 2005
(in thousands)

ASSETS	2006	2005
CURRENT ASSETS:		
Cash	\$ 6,267	\$ 12,887
Prepaid expenses and other current assets	60	269
Assets held for the Federal USF (Note 4)	<u>5,325,789</u>	<u>4,514,377</u>
Total current assets	5,332,116	4,527,533
FIXED ASSETS, less accumulated depreciation and amortization of \$5,354 and \$4,229	4,206	3,990
OTHER ASSETS	<u>122</u>	<u>142</u>
TOTAL	<u>\$ 5,336,444</u>	<u>\$ 4,531,665</u>
LIABILITIES AND UNRESTRICTED NET ASSETS		
CURRENT LIABILITIES:		
Accounts payable and accrued expenses	\$ 4,698	\$ 2,751
Payable to the Federal USF	5,957	14,537
Liabilities related to assets held for the Federal USF	<u>5,325,789</u>	<u>4,514,377</u>
Total current liabilities	5,336,444	4,531,665
COMMITMENTS AND CONTINGENCIES (Note 6)	—	—
UNRESTRICTED NET ASSETS	<u>—</u>	<u>—</u>
TOTAL	<u>\$ 5,336,444</u>	<u>\$ 4,531,665</u>

See notes to financial statements.

Statements of Operations and Change in Unrestricted Net Assets
For the Years Ended December 31, 2006 and 2005
(in thousands)

	2006	2005
REVENUE—Contract revenue	<u>\$ 88,588</u>	<u>\$ 85,190</u>
OPERATING EXPENSES:		
Contractual expenses (Notes 1 and 6)	46,659	46,408
Personnel and related expenses	15,893	13,582
General and administrative	24,450	24,230
Depreciation and amortization	<u>1,586</u>	<u>970</u>
Total operating expenses	<u>88,588</u>	<u>85,190</u>
NET INCOME	—	—
UNRESTRICTED NET ASSETS—Beginning of year	<u>—</u>	<u>—</u>
UNRESTRICTED NET ASSETS—End of year	<u>\$ —</u>	<u>\$ —</u>

See notes to financial statements.

Statements of Cash Flows · For the Years Ended December 31, 2006 and 2005
(in thousands)

	2006	2005
CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash received from the Federal USF and other vendors	\$ 79,808	\$ 94,310
Cash paid for operating expenses and employees	(85,055)	(89,238)
Interest received	<u>429</u>	<u>387</u>
Net cash (used in) provided by operating activities	(4,818)	5,459
CASH FLOWS FROM INVESTING ACTIVITIES:		
Cash paid for fixed assets	<u>(1,802)</u>	<u>(2,195)</u>
(DECREASE) INCREASE IN CASH AND CASH EQUIVALENTS	(6,620)	3,264
CASH AND CASH EQUIVALENTS—Beginning of year	<u>12,887</u>	<u>9,623</u>
CASH AND CASH EQUIVALENTS—End of year	\$ <u>6,267</u>	\$ <u>12,887</u>
RECONCILIATION OF NET INCOME TO NET CASH (USED IN) PROVIDED BY OPERATING ACTIVITIES:		
Net income	\$ —	\$ —
Adjustments to reconcile net income to net cash (used in) provided by operating activities:		
Depreciation and amortization	1,586	970
Changes in operating assets and liabilities:		
Decrease (increase) in prepaid expenses and current assets	209	(168)
Decrease in other assets	20	54
Increase in assets held for the Federal USF	(811,412)	(620,112)
Decrease (increase) in payable to the Federal USF	(8,580)	9,690
Increase (decrease) in accounts payable and accrued expenses	1,947	(5,087)
Increase in liabilities related to assets held for the Federal USF	<u>811,412</u>	<u>620,112</u>
NET CASH (USED IN) PROVIDED BY OPERATING ACTIVITIES	\$ <u>(4,818)</u>	\$ <u>5,459</u>

See notes to financial statements.

Notes to Financial Statements *As of and for the Years Ended December 31, 2006 and 2005*

1. ORGANIZATION AND BASIS OF PRESENTATION

The Universal Service Administrative Company ("USAC" or the "Company") was incorporated, effective September 17, 1997, as a not-for-profit, independent, wholly owned subsidiary of the National Exchange Carrier Association, Inc. ("NECA"), and appointed by the Federal Communications Commission ("FCC") to administer the Universal Service Fund ("USF") and the universal service support mechanisms. USAC's Board of Directors consists of independent directors representing a cross-section of stakeholders in the USF and the universal service support mechanisms.

The FCC, in its Report and Order in CC Docket Nos. 96-45 and 97-21 ("Universal Service Order") released May 8, 1997, and November 20, 1998, respectively, determined that USAC should serve as the permanent administrator of the High Cost, Low Income, Rural Health Care, and Schools and Libraries Universal Service Support Mechanisms, collectively referred to herein as the "Programs," established pursuant to Section 254 of the Communications Act of 1934, as amended.

USAC as the administrator of the USF performs billing, collection, and disbursement functions for the USF and the Programs. It also collects information regarding contributing entities' and end-user telecommunications revenues, and submits projections of demand, administrative expenses for the Programs, and quarterly universal service contribution data to the FCC.

The functions of USAC as the administrator of the USF also include, but are not limited to, development of applications and associated instructions as needed for the Programs, administering the application process to ensure compliance with FCC rules and related operational infrastructure for such

processes, creating and maintaining a Web site, performing outreach and public education functions, authorizing audits of telecommunications carriers, schools, libraries, and rural health care providers, and development and implementation of other functions unique to the Programs.

NECA performs data collection functions for the High Cost Program pursuant to FCC rules and bills USAC for the associated costs. NECA is compensated by USAC in accordance with NECA's Cost Accounting and Procedures Manual. NECA Services, Inc. ("NECA Services") performs services for the Schools and Libraries and Rural Health Care Support Programs. Effective November 14, 2005, the name of NECA Services was changed to Solix, Inc. ("Solix"). For the years ended December 31, 2006 and 2005, the expense recognized for services rendered by NECA were \$570,000 and \$549,000, respectively, and for the same period, the expense recognized for services rendered by Solix were \$41.4 million and \$36.7 million, respectively. These expenses are included in the contractual expenses in the accompanying statements of operations. At December 31, 2006 and 2005, the amounts due to Solix related to these services were \$0 and \$238,009, respectively, and are included in accounts payable in the statements of financial position.

Funds collected from contributors to the USF by USAC are restricted as to their intended use related to the Programs discussed above. The cash and other financial assets of the USF which USAC administers and acts as an intermediary for are reported at fair value in the Statements of Financial Position as assets held for the Federal USF, with an equal amount recorded as liabilities related to assets held for the Federal USF in accordance with Statement of Financial Accounting Standards ("SFAS") No. 136, *Transfers of Assets to a Not-for-Profit*

Organization or Charitable Trust That Raises or Holds Contributions for Others ("SFAS No. 136"). In accordance with SFAS No. 136, activities related to the USF are not presented in USAC's Statements of Operations and Change in Unrestricted Net Assets and Statements of Cash Flows.

2. NEW ACCOUNTING PRONOUNCEMENTS

In September 2006, the Financial Accounting Standards Board ("FASB") issued SFAS No. 157, *Fair Value Measurements*, which defines fair value, establishes a framework for consistently measuring fair value under generally accepted accounting principles, and expands disclosures about fair value measurements. SFAS No. 157 is effective for the Company beginning January 1, 2008, and the provisions of SFAS No. 157 will be applied prospectively as of that date. Management is currently evaluating the effect that adoption of this statement will have on the Company's financial position and results of operations when it becomes effective in 2008.

3. SIGNIFICANT ACCOUNTING POLICIES

Use of Estimates—The preparation of financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

Fixed Assets—Fixed assets consist of furniture, equipment, leasehold improvements, and software and are carried at cost, net of accumulated

Notes to Financial Statements
As of and for the Years Ended December 31, 2006 and 2005

depreciation. Depreciation of furniture and equipment is calculated on a straight-line basis over the five- to seven-year estimated useful lives of those assets. Amortization of leasehold improvements is calculated on a straight-line basis over the shorter of the remaining period of the respective leases or estimated useful lives of the improvements. Amortization of software is calculated on a straight-line basis over the three-year estimated useful lives of those assets. Maintenance and repairs are expensed to operations as incurred.

Impairment of Long-Lived Assets

The Company evaluates long-lived assets for impairment whenever events or changes in circumstances indicate that the carrying value of an asset may no longer be recoverable. If the estimated future cash flows (undiscounted and without interest charges) from the use of an asset were less than the carrying value, a write-down would be recorded to reduce the related asset to its estimated fair value.

Payable to the Federal USF—

Payable to the Federal USF presented in the Company's statements of financial position consists of amounts provided to USAC by the USF for USAC operations and held in USAC cash in excess of accounts payable and accrued expenses.

Contract Revenue—USAC as the administrator of the USF recognizes

contract revenue when services are rendered. Contract revenues are equal to the cost of providing administrative support to the USF and the Programs, and to other FCC fund administrators. Such costs are paid by USF and the other FCC fund administrators to USAC. These transactions are considered exchange transactions in accordance with the American Institute of Certified Public Accountants' ("AICPA") *Audit and Accounting Guide for Not-for-Profit Organizations*. The other FCC fund administrators include Telecommunications Relay Services ("TRS"), North American Numbering Plan ("NANP"), and Local Number Portability ("LNP"). USAC invoices these administrators for direct and indirect charges it incurs each month for the data collection and management functions on their behalf.

Concentration of Credit Risk—

Financial instruments that potentially subject USAC as the administrator of the USF to concentration of credit risk consist principally of cash, cash equivalents, short-term and long-term investments, and receivables from contributors. USAC as the administrator of the USF places its cash, cash equivalents, and short-term and long-term investments with high-credit quality institutions and limits the amount of credit exposure from any one institution.

Cash and Cash Equivalents—USAC as the administrator of the USF con-

siders all highly liquid securities with an original maturity of three months or less as of the financial statement date to be cash equivalents.

Reclassifications—Certain reclassifications were made to the prior-year financial statements to conform to the current-year presentation.

4. ASSETS AND LIABILITIES RELATED TO ASSETS HELD FOR THE FEDERAL USF

In connection with USAC's administration of the Programs, USAC collects monies from and makes disbursements to telecommunications and service providers, as required by FCC rules, orders, and directives. As discussed in Note 1, the cash and other financial assets of the USF, which USAC administers and acts as an intermediary for, are reported at fair value in the Statements of Financial Position as assets held for the Federal USF, with an equal amount recorded as liabilities related to assets held for the Federal USF. The information in the Summary Schedule of Assets Applicable to the USF (see chart, below) provides additional detail with respect to these amounts.

The cash received from contributors applicable to the USF was \$7.16 billion and \$7.06 billion for the years ended December 31, 2006 and 2005, respectively. The cash paid to service providers applicable to the USF was \$6.65 bil-

SUMMARY SCHEDULE OF ASSETS APPLICABLE TO THE USF

DECEMBER 31
2006 2005
(in thousands)

ASSETS:

USF cash and cash equivalents	\$ 59,617	\$ 2,743,875
Investments	4,538,319	1,223,319
Receivables	830,941	781,808
Allowance for doubtful accounts	(246,563)	(236,904)
Interest receivable	13,475	2,279
Other assets-securities pending settlement	130,000	—

ASSETS HELD FOR THE FEDERAL USF	\$ 5,325,789	\$ 4,514,377
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Notes to Financial Statements

As of and for the Years Ended December 31, 2006 and 2005

lion and \$6.45 billion for the years ended December 31, 2006 and 2005, respectively.

Short-Term Investments—USAC as the administrator of the USF considers all securities purchased with an original maturity of greater than three months but less than or equal to one year to be short-term investments. Short-term investments consist solely of United States Treasury securities with readily determinable fair values. USAC as the administrator of the USF accounts for its investments in accordance with SFAS No. 124, *Accounting for Certain Investments Held by Not-for-Profit Organizations*. Under SFAS No. 124, a not-for-profit organization reports investments in debt and equity securities at fair market value. At December 31, 2006, there were \$4.38 billion in short-term investments. There were \$1.11 billion in short-term investments at December 31, 2005.

Long-Term Investments—USAC as the administrator of the USF considers all securities purchased with an original maturity of greater than one year to be long-term investments. These investments are accounted for in accordance with SFAS No. 124. Long-term investments consist primarily of United States Treasury debt securities with readily determinable fair values. At December 31, 2006 and 2005, the USF had \$158 million and \$115 million of long-term investments, respectively.

Accounts Receivable and Allowance for Doubtful Accounts—USAC as the administrator of the USF recognizes accounts receivable arising from amounts billed to contributors and the recovery of funds from service providers and beneficiaries, which remain unpaid. Accounts receivable are recorded at invoiced amounts and generally do not bear interest. Based on the Debt Collection Improvement Act ("DCIA"), all receivables over 90-days delin-

quent are transferred to the FCC for collection, except for receivables where the debtor has appealed the validity of the amount owed or the debtor has sought protection under Chapter 7 or 11 of the United States Bankruptcy Code. The DCIA receivable balances transferred to the FCC remain on the USF financial statements. All receipts of DCIA transferred receivables are the property of the USF and, if collected, are transferred to the USF by the FCC.

Gross receivables are reduced to net realizable value by the allowance for doubtful accounts, which reflects the Company's estimate of exposure to risk of nonpayment of billed balances, determined principally on the basis of its collection experience. The allowance includes reserves for identified bankruptcies, identified inactive contributors, delinquent amounts that are referred to the FCC for enforcement, and other items. Management periodically reviews such estimates and management's assessment of recoverability may change based on actual results.

5. INCOME TAXES

USAC is a not-for-profit organization subject to income taxes related to permanent and temporary differences such as meals and entertainment expense and financial accounting versus tax depreciation. Income taxes for 2006 and 2005 are not material and are included as a component of administrative costs.

6. COMMITMENTS AND CONTINGENCIES

Commitments to Schools, Libraries, and Rural Health Care Facilities—

The management of USAC has developed operational procedures to administer the application process through which eligible schools and libraries and rural health care providers apply for benefits

under the Schools and Libraries and Rural Health Care Programs, respectively. These operational procedures enable USAC to review and process applications resulting in funding commitment letters that are issued to eligible schools and libraries and rural health care providers. USAC as the administrator of the USF also receives funds returned by service providers and beneficiaries and applies those funds to reduce the disbursements to schools, libraries, and rural health care providers.

Fixed Contract Commitments

LaSalle Bank Agreement—On May 1, 2001, USAC entered into an agreement with LaSalle Bank N.A. ("LaSalle") (the "LaSalle Agreement"). The LaSalle contract calendar period runs from July 1 through June 30 of the following year. The LaSalle Agreement five-year contract ended June 30, 2006. However, on December 28, 2005, USAC notified LaSalle that it is exercising its first of three one-year renewal options under the agreement, which extended the expiration of the agreement from July 1, 2006 to June 30, 2007. USAC may, at its option, extend the agreement until June 30, 2009. Under the terms of the LaSalle Agreement, LaSalle provides banking and investment management services for a fixed annual contractual amount that may be satisfied by fees derived by LaSalle from the investment of a portion of the custodial assets. LaSalle has also agreed to share with USAC the fees it earns for managing the investments after the annual fee has been satisfied. For each of the years ended December 31, 2006 and 2005, no fees were earned or accrued under this agreement. Fees earned are dependent on the amounts invested and vary over the term of the contract. For the contract period July 1, 2004 through June 30, 2005, USAC paid LaSalle \$1.1 million in fees under the LaSalle Agreement. LaSalle waived the investment management fees for the remainder of

Notes to Financial Statements

As of and for the Years Ended December 31, 2006 and 2005

the period July 1, 2005 through December 31, 2005, because of fees earned on the USF demand deposits held by LaSalle. On July 13, 2006, LaSalle notified USAC that the fees for January 1, 2006 through June 30, 2006, of \$528,400 were waived by LaSalle because of fees earned on the USF demand deposits held by LaSalle. In an amendment to the LaSalle Agreement dated September 8, 2006, investment management fees for the period July 1, 2006 through December 31, 2006, were waived by LaSalle as USAC maintained a certain average monthly USF demand deposit balance with LaSalle.

Solix, Inc. Agreement—On May 1, 2000, USAC entered into an agreement with NECA ("NECA Agreement"). The NECA Agreement was a three-year contract, which ran from July 1, 2000 to June 30, 2003. On July 1, 2002, the NECA Agreement was amended and extended to June 30, 2005, with renewal options through June 30, 2008. On January 1, 2003, the contract was assigned to NECA Services Inc. ("NECA Services Agreement"). On November 14, 2005, NECA Services, Inc. became Solix, Inc. Effective March 29, 2005, USAC executed a partial exercise of the contract renewal option by extending the agreement through December 31, 2006. On April 25, 2006, USAC executed a partial exercise of the contract renewal option by extending the agreement through December 31, 2007. Under the terms of the agreement, Solix, Inc. provides programmatic support service to the Schools and Libraries and Rural Health Care Programs. The future contractual required payments for the period January 1, 2007 through December 31, 2007, under the Solix, Inc. Agreement for both the Schools and Libraries and Rural Health Care programs are \$37 million.

Telcordia Agreement—On September 2, 2003, USAC entered into an agreement with Telcordia Technologies, Inc.

("Telcordia Agreement"). The Telcordia Agreement is a five-year contract with a four-month transition phase, in the event the contract is not renewed or extended, that runs from September 2, 2003 to December 31, 2008, with a renewal option for one year. Under the terms of the agreement, Telcordia provides program support services to the High Cost and Low Income Programs. The future contractual required payments per year through December 31, 2008, under the Telcordia Agreement are as follows:

(in thousands)

2007	\$ 3,888
2008	\$ 3,975
Total	\$ 7,863

Lease Commitments—USAC leases its office space under two operating lease agreements expiring on September 30, 2015. At December 31, 2006, the future minimal rental payments under these leases are as follows:

(in thousands)

2007	\$ 1,519
2008	\$ 1,558
2009	\$ 1,611
2010	\$ 1,650
2011	\$ 1,694
Thereafter	\$ 6,708
Total	\$ 14,740

Rent expense under operating leases was \$1.6 million and \$1.3 million for the years ended December 31, 2006 and 2005, respectively.

Legal Disputes—The Company is involved in various legal proceedings and claims incidental to the normal conduct of its business. All such matters reported relate solely to USAC as the administrator of the USF. There are no material matters to report that relate solely to USAC as a corporate entity. Among other matters, a complaint was filed to recover an allegedly preferential payment to

USAC in the amount of \$457,000 by a telecommunications service provider required to contribute to the USF. On December 22, 2002, the court granted summary judgment in USAC's favor. Plaintiff appealed the judgment, and, in an order filed September 12, 2003, the United States Bankruptcy Appellate Panel ("BAP") for the Ninth Circuit reversed the lower court decision. USAC appealed this decision to the United States Court of Appeals for the Ninth Circuit. On September 20, 2006, the court affirmed the BAP and remanded the case to the Bankruptcy Court for discovery and trial. USAC is waiting for the plaintiffs to recommence the litigation by requesting the court schedule discovery and other activities associated with the litigation. At the present time, USAC is unable to estimate whether an unfavorable outcome is likely or the amount or range of potential loss.

In April 2004, a preferential payment suit was filed by a Chapter 11 liquidating trustee in the United States Bankruptcy Court for the Southern District of New York. The trustee is seeking to avoid and recover from USAC alleged preferential pre-petition payments totaling \$11.3 million. The parties are considering, among other things, whether a post-Chapter 11 order of the Bankruptcy Court explicitly authorized the challenged payments, and have mutually agreed to extend USAC's deadline to answer the suit until May 4, 2007. As this deadline has been repeatedly extended by the parties at the request of the trustee, USAC expects the parties will continue extending the deadline indefinitely. USAC believes the allegations in the complaint are without merit and is vigorously defending this matter. At the present time, USAC is unable to estimate whether an unfavorable outcome is likely or the amount or range of potential loss.

Notes to Financial Statements

As of and for the Years Ended December 31, 2006 and 2005

In June 2006 a debtor contacted USAC regarding \$272,894 in alleged preferential payments to USAC. Although the debtor had indicated its intent to file an avoidance suit against USAC, the statute of limitations for avoidance actions has since run without USAC receiving notice of such a suit. Notwithstanding, the debtor listed USAC in pleadings to the Court as being a defendant in one of the numerous avoidance actions recently initiated by the debtor. By agreement of the parties, the debtor has removed USAC from the list of defendants, with the parties reserving their respective rights regarding the viability of any potential action against USAC. USAC will continue to monitor this matter and will defend vigorously any complaint that may be properly filed and served.

USAC holds general unsecured pre-petition claims aggregating \$1.6 million from a group of affiliated entities. Of this amount, USAC has identified a potential preference exposure of \$1 million. The \$1 million preference exposure represents payments made to USAC by the group of affiliated entities for USF obligations owed. Although this amount has been quantified, USAC will not have to payout the \$1 million. The court has determined that all avoidance actions have been released and waived.

The debtor can no longer recover the \$1 million from USAC in a preference action, but they may still be entitled to use the \$1 million as an offset to USAC's general unsecured pre-petition claim of \$1.6 million. USAC will continue to monitor this matter and will defend vigorously any objection or complaint that may be properly filed and served relating to this matter.

The Company is vigorously defending the matters described above. Although it is impossible to predict the outcome of these or any of the other outstanding legal proceedings involving the Company, the Company believes that such outstanding legal proceedings and claims, individually and in the aggregate, are not likely to have a material effect on its financial position or results of operations.

7. RETIREMENT PLANS

USAC has a 401(k) Retirement Savings Plan covering all USAC regular employees. The plan is both contributory and noncontributory and all contributions are subject to certain limitations as prescribed by the plan document and government regulations. Employees are immediately vested in the employer contribution, which is funded on a current basis. Employer contributions

charged to operations were \$1.3 million and \$1.1 million during 2006 and 2005, respectively.

8. SUBSEQUENT EVENTS

On January 24, 2007, the original agreement between USAC and Telcordia Technologies, Inc. was amended to include additional services relating to the development and implementation of the enhanced High Cost-Low Income system. The amended agreement became effective on January 1, 2007, and will result in an increase in contractual obligations to Telcordia of \$3.7 million over the remainder of the contract period ending December 31, 2008.

SUMMARY SUPPLEMENTAL SCHEDULES OF LIABILITIES APPLICABLE TO THE FEDERAL USF (unaudited)

DECEMBER 31
2006 2005
(in thousands)

LIABILITIES:

Payable to service providers	\$ 54,318	\$ 49,505
Payable to contributors	13,588	16,497
Disbursements in transit	126,878	—
Accrued liabilities	409,735	396,758

TOTAL	\$ 604,519	\$ 462,760
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Notes to Financial Statements
As of and for the Years Ended December 31, 2006 and 2005

SUMMARY SUPPLEMENTAL SCHEDULES OF CHANGES IN ASSETS AND LIABILITIES APPLICABLE TO THE FEDERAL USF <i>(unaudited)</i>	2006	DECEMBER 31 <i>(in thousands)</i>	2005
ADDITIONS:			
Amounts billed to contributors	\$ 7,157,863		\$ 7,096,525
Interest income	203,807		110,495
Total additions	<u>7,361,670</u>		<u>7,207,020</u>
DEDUCTIONS:			
Amount paid and due to service providers	6,603,415		6,500,234
Allowance for doubtful accounts	9,658		20,379
Operating expenses	88,007		84,619
Unrealized/realized losses on investments	(479)		3,334
Total deductions	<u>6,700,601</u>		<u>6,608,566</u>
CHANGE IN ASSETS AND LIABILITIES	\$ 661,069		\$ 598,454

SUMMARY SUPPLEMENTAL SCHEDULES OF CASH FLOWS APPLICABLE TO THE FEDERAL USF <i>(unaudited)</i>	2006	DECEMBER 31 <i>(in thousands)</i>	2005
CASH FLOWS FROM OPERATING ACTIVITIES:			
Cash received from contributors	\$ 7,163,588		\$ 7,057,720
Interest received	162,107		111,363
Cash paid to service providers	(6,647,248)		(6,453,483)
Cash paid for administrative expenses	(79,428)		(94,308)
Net cash provided by operating activities	<u>599,019</u>		<u>621,292</u>
CASH FLOWS FROM INVESTING ACTIVITIES:			
Redemption of investments	5,560,632		52,149
Purchase of investments	(8,843,909)		(1,251,237)
Net cash used in investing activities	<u>(3,283,277)</u>		<u>(1,199,088)</u>
(DECREASE) IN CASH AND CASH EQUIVALENTS	(2,684,258)		(577,796)
CASH AND CASH EQUIVALENTS:			
Beginning of year	2,743,875		3,321,671
End of year	<u>\$ 59,617</u>		<u>\$ 2,743,875</u>

Combining Supplemental Schedules of Assets and Liabilities
Applicable to the Federal USF for the Years Ended December 31, 2006 and 2005
(unaudited • in thousands)

2006

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ASSETS:					
USF cash and cash equivalents	\$ (477,719)	\$ 318,367	\$ 193,547	\$ 25,422	\$ 59,617
Investments	4,538,319	—	—	—	4,538,319
Receivables	305,710	440,568	79,843	4,820	830,941
Allowance for doubtful accounts	(125,312)	(97,510)	(23,026)	(715)	(246,563)
Other assets	130,000	—	—	—	130,000
Interest receivable	10,573	1,900	817	185	13,475
Assets held for Federal USF	4,381,571	663,325	251,181	29,712	5,325,789
Receivable from USAC	(8,893)	13,672	2,331	(1,153)	5,957
TOTAL	\$ 4,372,678	\$ 676,997	\$ 253,512	\$ 28,559	\$ 5,331,746
LIABILITIES:					
Payable to service providers	\$ 30,822	\$ 20,349	\$ 3,144	\$ 3	\$ 54,318
Payable to contributors	4,116	7,895	1,466	111	13,588
Disbursements in transit	126,878	—	—	—	126,878
Accrued liabilities	—	345,420	64,315	—	409,735
TOTAL	\$ 161,816	\$ 373,664	\$ 68,925	\$ 114	\$ 604,519

2005

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ASSETS:					
USF cash and cash equivalents	\$ 2,242,946	\$ 340,753	\$ 124,888	\$ 35,288	\$ 2,743,875
Investments	1,223,319	—	—	—	1,223,319
Receivables	307,506	410,183	57,663	6,456	781,808
Allowance for doubtful accounts	(126,600)	(88,710)	(20,993)	(601)	(236,904)
Other assets	—	—	—	—	—
Interest receivable	2,279	—	—	—	2,279
Assets held for Federal USF	3,649,450	662,226	161,558	41,143	4,514,377
Receivable from USAC	(3,581)	15,640	3,454	(976)	14,537
TOTAL	\$ 3,645,869	\$ 677,866	\$ 165,012	\$ 40,167	\$ 4,528,914
LIABILITIES:					
Payable to service providers	\$ 17,446	\$ 27,509	\$ 4,479	\$ 71	\$ 49,505
Payable to contributors	5,358	8,984	2,044	111	16,497
Disbursements in transit	—	—	—	—	—
Accrued liabilities	—	330,424	66,334	—	396,758
TOTAL	\$ 22,804	\$ 366,917	\$ 72,857	\$ 182	\$ 462,760

Note—This schedule reflects the assets and liabilities applicable to Federal USF at December 31, 2006 and 2005, for each of the Support Programs.

***Combining Supplemental Schedules of Changes in Assets and Liabilities
Applicable to the Federal USF for the Years Ended December 31, 2006 and 2005***
(unaudited • in thousands)

2006

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 2,140,095	\$4,128,382	\$ 860,453	\$ 28,933	\$ 7,157,863
Interest income	167,870	23,650	9,985	2,302	203,807
TOTAL ADDITIONS	2,307,965	4,152,032	870,438	31,235	7,361,670
DEDUCTIONS:					
Amount paid and due to service providers	1,658,313	4,085,011	819,518	40,573	6,603,415
Allowance for doubtful accounts	(1,289)	8,799	2,034	114	9,658
Operating expenses	68,375	12,168	3,715	3,749	88,007
Unrealized/realized gain or loss	(479)	—	—	—	(479)
TOTAL DEDUCTIONS	1,724,920	4,105,978	825,267	44,436	6,700,601
CHANGE IN ASSETS AND LIABILITIES	\$ 583,045	\$ 46,054	\$ 45,171	\$ (13,201)	\$ 661,069

2005

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
ADDITIONS:					
Amounts billed to contributors	\$ 2,233,320	\$3,988,780	\$ 840,253	\$ 34,172	\$ 7,096,525
Interest income	97,773	9,659	2,125	938	110,495
TOTAL ADDITIONS	2,331,093	3,998,439	842,378	35,110	7,207,020
DEDUCTIONS:					
Amount paid and due to service providers	1,838,080	3,825,577	809,397	27,180	6,500,234
Allowance for doubtful accounts	27,281	(4,872)	(1,886)	(144)	20,379
Operating expenses	61,339	15,747	4,292	3,241	84,619
Unrealized/realized gain or loss	3,334	—	—	—	3,334
TOTAL DEDUCTIONS	1,930,034	3,836,452	811,803	30,277	6,608,566
CHANGE IN ASSETS AND LIABILITIES	\$ 401,059	\$ 161,987	\$ 30,575	\$ 4,833	\$ 598,454

Note—This schedule reflects the changes in assets and liabilities applicable to Federal USF for the years ended December 31, 2006 and 2005, for each of the Support Programs.

***Combining Supplemental Schedules of Cash Flows Applicable
to the Federal USF for the Years Ended December 31, 2006 and 2005***

(unaudited · in thousands)

2006

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 2,204,386	\$ 4,114,451	\$ 812,719	\$ 32,032	\$ 7,163,588
Interest received	130,012	21,126	8,895	2,074	162,107
Cash paid to service providers	(1,713,472)	(4,094,094)	(797,622)	(42,060)	(6,647,248)
Cash paid for administrative costs	(63,063)	(10,200)	(2,593)	(3,572)	(79,428)
Net cash provided by (used in) operating activities	557,863	31,283	21,399	(11,526)	599,019
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of investments	5,560,632	—	—	—	5,560,632
Purchase of investments	(8,843,909)	—	—	—	(8,843,909)
Net cash used in investing activities	(3,283,277)	—	—	—	(3,283,277)
(DECREASE) INCREASE IN CASH EQUIVALENTS	(2,725,414)	31,283	21,399	(11,526)	(2,684,258)
CASH AND CASH EQUIVALENTS:					
Beginning of year	2,242,946	340,753	124,888	35,288	2,743,875
End of year	\$ (482,468)	\$ 372,036	\$ 146,287	\$ 23,762	\$ 59,617
RECONCILIATION OF NET INCOME PROVIDED BY CASH FROM OPERATING ACTIVITIES:					
Net income	\$ 583,045	\$ 46,054	\$ 45,170	\$ (13,200)	\$ 661,069
Adjustments to reconcile net income to net cash provided by (used in) operating activities:					
Bad debt expense	(1,289)	8,799	2,034	115	9,659
Changes in operating assets and liabilities:					
Decrease (increase) in interest receivable	(8,294)	(1,900)	(817)	(185)	(11,196)
Decrease in amortized discount	(31,719)	—	—	—	(31,719)
Decrease (increase) in accounts receivable	1,796	(30,385)	(22,180)	1,636	(49,133)
Decrease (increase) in receivable from USAC	5,312	1,968	1,123	177	8,580
Decrease in other assets from USAC	(130,000)	—	—	—	(130,000)
Increase (decrease) in liabilities	139,012	6,747	(3,932)	(68)	141,759
NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES	\$ 557,863	\$ 31,283	\$ 21,398	\$ (11,525)	\$ 599,019

2005

	Schools & Libraries	High Cost	Low Income	Rural Health Care	Total USF
CASH FLOWS FROM OPERATING ACTIVITIES:					
Cash received from contributors	\$ 2,167,378	\$ 3,970,038	\$ 883,690	\$ 36,614	\$ 7,057,720
Interest received	99,505	8,944	2,011	903	111,363
Cash paid to service providers	(1,832,911)	(3,787,201)	(806,195)	(27,176)	(6,453,483)
Cash paid for administrative costs	(67,254)	(18,571)	(4,955)	(3,528)	(94,308)
Net cash provided by operating activities	366,718	173,210	74,551	6,813	621,292
CASH FLOWS FROM INVESTING ACTIVITIES:					
Redemption of investments	52,149	—	—	—	52,149
Purchase of investments	(1,251,237)	—	—	—	(1,251,237)
Net cash used in (provided by) investing activities	(1,199,088)	—	—	—	(1,199,088)
INCREASE (DECREASE) IN CASH EQUIVALENTS	(832,370)	173,210	74,551	6,813	(577,796)
CASH AND CASH EQUIVALENTS:					
Beginning of year	3,075,316	167,543	50,337	28,475	3,321,671
End of year	\$ 2,242,946	\$ 340,753	\$ 124,888	\$ 35,288	\$ 2,743,875
RECONCILIATION OF NET INCOME PROVIDED BY CASH FROM OPERATING ACTIVITIES:					
Net income	\$ 401,059	\$ 161,987	\$ 30,575	\$ 4,833	\$ 598,454
Adjustments to reconcile net income to net cash provided by operating activities:					
Bad debt expense	27,281	(4,872)	(1,886)	(144)	20,379
Changes in operating assets and liabilities:					
Decrease (increase) in interest receivable	5,066	(715)	(114)	(36)	4,201
Decrease in amortized discount	—	—	—	—	—
Decrease (increase) in accounts receivable	(62,735)	(9,238)	46,039	2,533	(23,401)
Decrease (increase) in receivable from USAC	(5,915)	(2,824)	(664)	(287)	(9,690)
Decrease in other assets from USAC	—	—	—	—	—
Increase (decrease) in liabilities	1,962	28,872	601	(86)	31,349
NET CASH PROVIDED BY (USED IN) OPERATING ACTIVITIES	\$ 366,718	\$ 173,210	\$ 74,551	\$ 6,813	\$ 621,292

Note—This schedule reflects the cash flows applicable to Federal USF for the years ended December 31, 2006 and 2005 for each of the Support Programs.



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INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED UPON THE AUDIT PERFORMED IN ACCORDANCE WITH GOVERNMENT AUDITING STANDARDS

To the Board of Directors of
Universal Service Administrative Company
Washington, D.C.

We have audited the financial statements of Universal Service Administrative Company (a Delaware corporation) (the "Company" or "USAC"), as of and for the years ended December 31, 2006, and have issued our report thereon dated June 25, 2007. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States.

Internal Control Over Financial Reporting

In planning and performing our audit, we considered the Company's internal control over financial reporting as a basis for designing our auditing procedures for the purpose of expressing an opinion on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control over financial reporting. Accordingly we do not express an opinion on the effectiveness of the Company's internal control over financial reporting.

Our consideration of internal control over financial reporting was for the limited purpose described in the preceding paragraph and would not necessarily identify all deficiencies in internal control over financial reporting that might be significant deficiencies or material weaknesses. However, as described below, we identified a deficiency in internal control over financial reporting that we consider to be a material weakness.

A control deficiency exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent or detect misstatements on a timely basis. A significant deficiency is a control deficiency, or a combination of control deficiencies, that adversely affects the Company's ability to initiate, authorize, record, process, or report financial data reliably in accordance with generally accepted accounting principles such that there is more than a remote likelihood that a misstatement of the Company's financial statements that is more than inconsequential will not be prevented or detected by the Company's internal control.

A material weakness is a significant deficiency, or a combination of significant deficiencies, that results in more than a remote likelihood that a material misstatement of the financial statements will not be prevented or detected by the entity's internal control. We consider the deficiency described below to be a material weakness in internal control over financial reporting.

(continued next page)

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In accordance with Statement of Accounting Financial Standards No. 95, Statement of Cash Flows, investments with original maturities of three months or less should be classified as cash and cash equivalents. The Company did not have adequate internal controls in place to correctly classify cash and cash equivalents for financial reporting purposes. Investments of approximately \$1.9 billion with an original maturity date greater than three months were incorrectly classified as cash and cash equivalents as of December 31, 2006 prior to adjustment. This adjustment affects the presentation of cash and cash equivalents and short term investments in the preparation of the financial statements.

Our consideration of the internal control over financial reporting was for the limited purpose described in the first paragraph of this section and would not necessarily identify all deficiencies in internal control that might be significant deficiencies and, accordingly, would not necessarily disclose all significant deficiencies that are also considered to be material weaknesses.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether USAC's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws and regulations, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under Government Auditing Standards.

This report is intended solely for the information and use of the audit committee, management, and the Office of Inspector General of the Federal Communications Commission and is not intended to be, and should not be, used by anyone other than these specified parties.



June 25, 2007

Member of
Deloitte Touche Tohmatsu



W.B. Erwin
Vice President of Finance

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June 25, 2007

Mr. Macon Ware, III
Deloitte and Touche, LLP
1750 Tysons Boulevard
McLean, VA 22102-4219

RE: USAC Management's Response to the Audited Financial Statements and the Independent Auditors' Reports on Internal Control Over Financial Reporting and on Compliance and Other Matters Based Upon the Audit Performed in Accordance with Government Auditing Standards

Dear Mr. Ware:

This letter is our response to the reports entitled *Financial Statements as of and for the Years ended December 31, 2006 and 2005, Additional Supplemental Schedules as of and for the Years Ended December 31, 2006 and 2005, and Independent Auditors' Reports in Accordance with Government Auditing Standards*. USAC management would like to take this opportunity to express our appreciation to the staff of Deloitte for their work on this audit and for working closely with USAC accounting staff during the course of the audit.

We are pleased that Deloitte has found the financial statements fairly present the financial position of USAC and each of the Universal Service programs for the fiscal years 2006 and 2005. We have worked very hard over this past year to improve our financial reporting processes and to strengthen our internal controls and improve financial management.

Despite our efforts, we noted in the FY 2006 Independent Auditors' Reports on Internal Control over Financial Reporting that Deloitte reported a deficiency in the financial statement process as a material weakness in internal controls. We acknowledge there were deficiencies in the financial reporting processes relating to financial statement preparation at year-end and have modified our processes going forward to address these deficiencies. However, we do not believe that the deficiency reported by Deloitte rises to the level of a material weakness in internal controls.

In preparing draft USAC financial statements for 2006, USAC accounting staff inadvertently used incorrect numbers on the USF Investment roll forward schedule instead of the detailed Investment schedule. This error resulted in a \$1.9 billion misclassification of USF cash equivalent balances for investments in a draft version of the footnotes to the USAC financial statements provided to Deloitte. The misstatement error identified by Deloitte was on early versions of USAC's draft financial statements and was never considered to be final. The \$1.9 billion cash equivalent amount was never recorded in USAC's or USF's general ledger. The accounting staff continued to work on identifying the USF cash and investment discrepancies throughout the audit process making revisions to the draft USAC financial statements as errors were corrected. This reclassification of USF investments from Short-term to cash equivalents is only done at year-end for audit and financial statement purposes as required by FASB Statement 95, *Statement of Cash Flows*.

We are committed to continually strengthening USAC's internal controls over financial reporting and processes. We look forward to working in FY 2007 to resolve any FY 2006 audit findings and to further improve the completeness, timeliness, and accuracy of USAC's financial information.

Sincerely,

A handwritten signature in blue ink that reads "Wendelwyn Frederick for".

W. B. Erwin
Vice President of Finance

2007 PROGRAM STATISTICS, UNAUDITED

The following pages contain information from the four support programs administered by USAC. To better understand this information, please note the difference between disbursements and commitments as well as program/funding year versus calendar year.

Rural Health Care and Schools and Libraries Program Funding Years	Start Date	End Date
FUNDING YEAR 2005	JULY 1, 2005	JUNE 30, 2006
FUNDING YEAR 2006	JULY 1, 2006	JUNE 30, 2007
FUNDING YEAR 2007	JULY 1, 2007	JUNE 30, 2008

FUNDING YEAR

For the Rural Health Care and Schools and Libraries programs, a Funding Year runs from July 1 to June 30 of the following year.

CALENDAR YEAR

The High Cost and Low Income programs disburse funds on a Calendar Year basis. Information in the tables is for Calendar Year 2007.

Note: In the High Cost Program Disbursements by Component table (page 43), High Cost Loop includes disbursements for its two subcomponents, Safety Net Additive Support and Safety Valve Support. Long Term Support (LTS) was merged into Inter-

state Common Line Support (ICLS) in July 2004. 2007 ICLS disbursements may include LTS based on prior-period adjustments.

DISBURSEMENTS

The tables contain the amount of USF support issued in Calendar Year 2007, which does not reflect certain accounting adjustments. For the Rural Health Care and Schools and Libraries programs, the disbursement information is shown by Funding Year in addition to the total Calendar Year 2007 amount disbursed. For the Rural Health Care and Schools and Libraries programs, disbursement information in the Calendar Year tables may represent multiple Funding Years.

FUNDING COMMITMENTS

Funding commitments are not disbursements. Funding commitments are issued by the Rural Health Care and Schools and Libraries programs via commitment letters that approve what will be funded through USF support payments for a particular Funding Year. Commitments made in Calendar Year 2007 may be for applications filed during previous Funding Years and the current Funding Year.

The tables for the Rural Health Care and Schools and Libraries programs provide Calendar Year 2007 and Funding Year 2007 commitment information. Funding Year 2007 disbursement information is provided for the Schools and Libraries program.

High Cost Study Areas by Category (unaudited)

	Incumbent Carriers					Competitor Study Areas*	Total Study Areas
	Rate-of-Return Carriers						
	Cost Company	Average Schedule	Total	Price Cap	Total ILEC		
RURAL	784	466	1,250	105	1,355	250	1,605
NON-RURAL	4	1	5	81	86	226	312
TOTAL	788	467	1,255	186	1,441	476	1,917

Note: *Competitor count reflects some competitive ETCs that serve in both rural and non-rural study areas and are counted separately in each category.

2007 PROGRAM STATISTICS

High Cost Program · Disbursements by Component (unaudited · in thousands)

State	High Cost Loop	High Cost Model	Interstate Access Support	Interstate Common Line Support	Local Switching Support	Total 2007	Total 1998 - 12/31/07
Alabama	\$ 20,257	\$ 44,671	\$ 20,269	\$ 20,017	\$ 6,244	\$ 111,459	\$ 886,997
Alaska	70,467	0	0	73,803	17,086	161,356	975,836
American Samoa	(2)	0	0	2,203	1,169	3,370	14,461
Arizona	29,260	0	19,899	12,298	9,463	70,919	593,892
Arkansas	68,278	0	165	50,158	7,693	126,294	1,044,283
California	34,776	0	40,628	20,996	4,238	100,638	828,616
Colorado	36,708	0	18,641	21,673	5,029	82,051	669,516
Connecticut	0	0	531	183	549	1,264	15,913
Delaware	0	0	245	0	0	245	5,481
District of Columbia	0	0	0	0	0	0	0
Florida	10,719	0	59,948	8,278	3,362	82,308	682,757
Georgia	36,719	0	23,574	40,385	11,958	112,636	985,195
Guam	1,440	0	0	9,351	0	10,792	69,979
Hawaii	30,201	0	2,561	17,718	1,384	51,864	163,824
Idaho	21,885	0	15,467	10,825	5,893	54,069	455,329
Illinois	16,132	0	10,999	29,017	11,119	67,267	483,756
Indiana	18,744	0	22,851	19,993	10,146	71,734	452,819
Iowa	40,334	0	8,077	46,828	30,871	126,109	636,988
Kansas	129,931	0	6,111	66,889	19,546	222,477	1,196,727
Kentucky	30,570	16,827	17,392	25,177	6,965	96,931	578,228
Louisiana	99,099	0	13,412	43,744	6,876	163,131	968,315
Maine	8,396	2,117	95	16,287	9,672	36,567	294,818
Maryland	343	0	2,492	809	563	4,207	32,164
Massachusetts	12	0	1,660	81	545	2,299	52,517
Michigan	29,255	0	674	25,652	11,661	67,241	468,092
Minnesota	52,759	0	3,897	52,956	22,832	132,444	786,480
Mississippi	35,171	197,320	24,210	20,644	6,058	283,404	1,626,219
Missouri	47,791	0	9,462	33,092	7,891	98,235	777,135
Montana	26,461	20,580	864	21,734	7,644	77,282	621,218
Nebraska	34,136	11,094	9,268	32,404	19,276	106,178	457,976
Nevada	6,583	0	10,376	5,891	6,783	29,634	232,989
New Hampshire	308	0	1,835	2,782	4,440	9,365	96,307
New Jersey	0	0	270	510	884	1,664	24,684
New Mexico	29,680	0	10,642	17,819	9,247	67,388	485,712
New York	7,519	0	18,234	12,384	14,405	52,542	501,871
North Carolina	12,529	0	29,047	29,843	6,454	77,872	589,641
North Dakota	29,357	0	962	35,178	19,273	84,771	467,443
Northern Mariana Islands	0	0	444	0	1,186	1,630	27,333
Ohio	11,289	0	12,450	17,515	4,952	46,205	314,934
Oklahoma	63,637	0	2,361	46,235	16,952	129,185	928,538
Oregon	28,656	0	20,134	22,437	9,743	80,970	611,631
Pennsylvania	2,074	0	21,718	25,914	5,846	55,552	451,597
Puerto Rico	0	0	0	135,026	0	135,026	1,235,895
Rhode Island	0	0	31	0	0	31	392
South Carolina	24,793	0	11,175	33,035	5,184	74,186	653,147
South Dakota	42,662	2,445	31	33,215	14,746	93,098	480,624
Tennessee	12,797	0	9,793	23,071	6,633	52,295	447,759
Texas	115,271	0	44,274	67,070	19,120	245,735	1,879,746
Utah	6,568	0	2,535	10,656	4,695	24,454	185,261
Vermont	7,401	9,881	2,400	8,206	3,520	31,408	255,172
Virgin Islands	11,136	0	0	14,548	0	25,685	247,599
Virginia	3,908	0	61,719	8,377	5,545	79,549	600,655
Washington	30,253	0	25,637	33,365	8,250	97,505	760,956
West Virginia	9,984	27,594	19,473	2,410	3,884	63,345	612,217
Wisconsin	41,976	0	256	68,891	30,730	141,853	885,491
Wyoming	15,690	13,734	5,802	14,340	11,448	61,014	432,705
TOTAL	\$ 1,443,912	\$ 346,264	\$ 644,991	\$ 1,391,913	\$ 459,654	\$ 4,286,733	\$ 30,235,829

Note: See note on page 42 under Calendar Year. Numbers may not add due to rounding.

High Cost Program · Disbursements by Rural / Non-Rural
(unaudited · in thousands)

State	Total Rural	Total Non-Rural	Total 2007
Alabama	\$ 44,483	\$ 66,976	\$ 111,459
Alaska	120,011	41,345	161,356
American Samoa	1,628	1,742	3,370
Arizona	53,800	17,119	70,919
Arkansas	114,531	11,763	126,294
California	63,910	36,729	100,638
Colorado	60,300	21,751	82,051
Connecticut	732	531	1,264
Delaware	0	245	245
District of Columbia	0	0	0
Florida	38,648	43,661	82,308
Georgia	88,859	23,777	112,636
Guam	5,953	4,839	10,792
Hawaii	39,158	12,706	51,864
Idaho	52,764	1,306	54,069
Illinois	57,342	9,925	67,267
Indiana	49,707	22,028	71,734
Iowa	101,848	24,260	126,109
Kansas	195,875	26,602	222,477
Kentucky	56,161	40,770	96,931
Louisiana	133,782	29,349	163,131
Maine	28,751	7,816	36,567
Maryland	1,715	2,492	4,207
Massachusetts	638	1,660	2,299
Michigan	58,209	9,032	67,241
Minnesota	112,254	20,190	132,444
Mississippi	53,171	230,232	283,404
Missouri	91,824	6,411	98,235
Montana	53,746	23,536	77,282
Nebraska	72,690	33,488	106,178
Nevada	20,547	9,087	29,634
New Hampshire	7,519	1,845	9,365
New Jersey	1,664	0	1,664
New Mexico	57,444	9,944	67,388
New York	40,362	12,180	52,542
North Carolina	54,400	23,472	77,872
North Dakota	67,201	17,570	84,771
Northern Mariana Islands	1,333	297	1,630
Ohio	39,408	6,798	46,205
Oklahoma	118,961	10,224	129,185
Oregon	57,983	22,987	80,970
Pennsylvania	42,116	13,436	55,552
Puerto Rico	0	135,026	135,026
Rhode Island	0	31	31
South Carolina	65,027	9,159	74,186
South Dakota	77,466	15,633	93,098
Tennessee	44,323	7,972	52,295
Texas	206,409	39,327	245,735
Utah	22,994	1,460	24,454
Vermont	17,599	13,809	31,408
Virgin Islands	27,547	52,002	79,549
Virginia	25,685	0	25,685
Washington	62,738	34,767	97,505
West Virginia	24,369	38,976	63,345
Wisconsin	113,471	28,382	141,853
Wyoming	37,172	23,842	61,014
TOTAL	\$ 2,986,229	\$ 1,300,504	\$ 4,286,733

Note: Numbers may not add due to rounding.

High Cost Program · Disbursements by Incumbent v. Competitive ETC
(unaudited · in thousands)

State	Incumbent ETC	Competitive ETC	Total 2007
Alabama	\$ 93,093	\$ 18,365	\$ 111,459
Alaska	95,194	66,161	161,356
American Samoa	816	2,554	3,370
Arizona	59,034	11,884	70,919
Arkansas	98,643	27,651	126,294
California	99,768	871	100,638
Colorado	72,782	9,269	82,051
Connecticut	1,264	0	1,264
Delaware	245	0	245
District of Columbia	0	0	0
Florida	65,072	17,236	82,308
Georgia	105,219	7,418	112,636
Guam	5,242	5,550	10,792
Hawaii	23,868	27,997	51,864
Idaho	50,115	3,954	54,069
Illinois	65,657	1,610	67,267
Indiana	64,040	7,694	71,734
Iowa	70,971	55,138	126,109
Kansas	139,568	82,909	222,477
Kentucky	71,232	25,699	96,931
Louisiana	95,552	67,579	163,131
Maine	23,392	13,174	36,567
Maryland	4,208	(1)	4,207
Massachusetts	2,299	0	2,299
Michigan	45,290	21,951	67,241
Minnesota	84,231	48,213	132,444
Mississippi	136,683	146,721	283,404
Missouri	89,755	8,480	98,235
Montana	65,544	11,738	77,282
Nebraska	56,355	49,823	106,178
Nevada	23,152	6,481	29,634
New Hampshire	9,170	195	9,365
New Jersey	1,664	0	1,664
New Mexico	53,491	13,897	67,388
New York	46,766	5,776	52,542
North Carolina	66,786	11,086	77,872
North Dakota	45,229	39,542	84,771
Northern Mariana Islands	610	1,020	1,630
Ohio	46,205	0	46,205
Oklahoma	105,331	23,854	129,185
Oregon	61,212	19,758	80,970
Pennsylvania	53,842	1,710	55,552
Puerto Rico	33,453	101,573	135,026
Rhode Island	31	0	31
South Carolina	74,186	0	74,186
South Dakota	57,400	35,698	93,098
Tennessee	50,724	1,570	52,295
Texas	214,894	30,841	245,735
Utah	24,126	328	24,454
Vermont	25,402	6,006	31,408
Virgin Islands	62,907	16,642	79,549
Virginia	25,685	0	25,685
Washington	60,564	36,941	97,505
West Virginia	52,608	10,737	63,345
Wisconsin	86,328	55,525	141,853
Wyoming	41,330	19,685	61,014
TOTAL	\$3,108,230	\$ 1,178,503	\$ 4,286,733

Note: Numbers may not add due to rounding.

Low Income Program · Disbursements by Component
(unaudited · in thousands)

State	Lifeline*	Link Up*	Toll Limitation Service**	Total 2007	Total 1998-12/31/07
Alabama	\$ 5,377	\$ 920	\$ 227	\$ 6,524	\$ 30,147
Alaska	16,964	234	107	17,305	49,288
American Samoa	59	0	0	59	550
Arizona	21,974	242	62	22,278	122,728
Arkansas	2,828	116	5	2,950	15,807
California	259,730	8,795	3,957	272,482	2,925,333
Colorado	3,277	26	7	3,310	30,294
Connecticut	4,575	69	1	4,645	50,237
Delaware	225	5	0	230	1,851
District of Columbia	662	9	0	670	9,599
Florida	19,625	1,023	263	20,912	154,752
Georgia	9,044	308	22	9,375	76,342
Guam	277	21	0	298	2,772
Hawaii	569	4	1	574	9,431
Idaho	3,762	22	11	3,795	28,039
Illinois	8,777	1,342	295	10,414	74,072
Indiana	5,216	437	52	5,705	37,967
Iowa	5,753	92	188	6,033	31,436
Kansas	2,918	64	57	3,038	17,731
Kentucky	7,940	225	97	8,262	53,994
Louisiana	2,961	623	128	3,711	26,475
Maine	8,016	313	8	8,337	83,086
Maryland	578	50	0	628	4,559
Massachusetts	11,923	9	1	11,933	148,946
Michigan	13,399	1,160	826	15,385	121,032
Minnesota	7,360	87	182	7,629	49,621
Mississippi	4,780	358	9	5,147	27,866
Missouri	7,162	118	137	7,416	36,561
Montana	4,305	38	12	4,355	20,470
Nebraska	2,460	33	16	2,509	17,256
Nevada	3,000	94	8	3,102	27,918
New Hampshire	576	4	0	580	5,370
New Jersey	13,261	165	3	13,428	78,721
New Mexico	14,662	138	64	14,864	71,399
New York	36,194	18	(3)	36,209	496,934
North Carolina	13,828	113	32	13,973	101,440
North Dakota	3,938	136	19	4,092	24,162
Northern Mariana Islands	103	12	0	116	606
Ohio	31,089	928	172	32,188	239,421
Oklahoma	46,789	2,652	536	49,976	183,306
Oregon	5,627	71	8	5,705	45,406
Pennsylvania	15,056	885	3	15,944	104,955
Puerto Rico	16,361	527	0	16,888	76,899
Rhode Island	4,064	11	1	4,076	44,172
South Carolina	3,522	150	13	3,685	25,194
South Dakota	6,544	284	48	6,876	38,136
Tennessee	7,681	946	202	8,829	51,191
Texas	84,999	3,683	729	89,411	493,845
Utah	3,686	24	23	3,733	24,434
Vermont	3,058	20	3	3,081	28,718
Virgin Islands	29	0	0	29	385
Virginia	2,243	62	0	2,304	21,719
Washington	15,359	683	21	16,062	122,948
West Virginia	714	18	1	733	5,466
Wisconsin	8,625	1,157	314	10,096	69,734
Wyoming	802	9	61	873	5,421
TOTAL	\$ 784,305	\$ 29,531	\$ 8,925	\$ 822,761	\$ 6,646,142

*Lifeline and Link Up support include Hurricane Katrina relief support disbursed in 2006 and 2007.

**Negative amounts result from over-claimed support and projected amounts exceeding support claims. Note: Numbers may not add due to rounding.

Low Income Program · Disbursements by Incumbent v. Competitive ETC
(unaudited · in thousands)

State	Incumbent ETC	Competitive ETC	Total 2007
Alabama	\$ 3,990	\$ 2,534	\$ 6,524
Alaska	3,565	13,739	17,305
American Samoa	59	0	59
Arizona	4,918	17,360	22,278
Arkansas	2,950	0	2,950
California	268,186	4,296	272,482
Colorado	3,265	45	3,310
Connecticut	4,645	0	4,645
Delaware	230	0	230
District of Columbia	670	0	670
Florida	19,308	1,604	20,912
Georgia	9,373	1	9,375
Guam	298	0	298
Hawaii	574	0	574
Idaho	3,603	192	3,795
Illinois	8,665	1,748	10,414
Indiana	5,704	1	5,705
Iowa	4,655	1,378	6,033
Kansas	2,474	565	3,038
Kentucky	7,146	1,115	8,262
Louisiana	2,874	837	3,711
Maine	8,015	322	8,337
Maryland	628	0	628
Massachusetts	11,933	0	11,933
Michigan	11,652	3,733	15,385
Minnesota	6,168	1,461	7,629
Mississippi	4,035	1,111	5,147
Missouri	6,550	866	7,416
Montana	2,516	1,839	4,355
Nebraska	2,011	498	2,509
Nevada	3,002	100	3,102
New Hampshire	579	1	580
New Jersey	13,428	0	13,428
New Mexico	7,551	7,313	14,864
New York	35,064	1,145	36,209
North Carolina	13,972	0	13,973
North Dakota	2,410	1,683	4,092
Northern Mariana Islands	116	0	116
Ohio	32,188	0	32,188
Oklahoma	17,600	32,377	49,976
Oregon	5,666	39	5,705
Pennsylvania	15,936	8	15,944
Puerto Rico	14,550	2,338	16,888
Rhode Island	3,479	597	4,076
South Carolina	3,685	0	3,685
South Dakota	1,766	5,110	6,876
Tennessee	7,697	1,132	8,829
Texas	83,450	5,961	89,411
Utah	3,624	109	3,733
Vermont	2,929	153	3,081
Virgin Islands	29	0	29
Virginia	2,219	85	2,304
Washington	11,291	4,771	16,062
West Virginia	641	92	733
Wisconsin	8,001	2,095	10,096
Wyoming	476	397	873
TOTAL	\$ 702,011	\$ 120,749	\$ 822,761

Note: Numbers may not add due to rounding.

Schools and Libraries Program · Commitments and Disbursements
(unaudited · in thousands)

State	FUNDING YEAR 2007		CALENDAR YEAR 2007		TOTAL PROGRAM	
	Commitments	Disbursements	Commitments	Disbursements	Commitments 1/1/98-12/31/07	Disbursements 1/1/98-12/31/07
Alabama	\$ 24,827	\$ 3,919	\$ 34,752	\$ 39,411	\$ 305,594	\$ 230,562
Alaska	6,855	1,200	8,965	14,135	142,810	112,004
American Samoa	0	0	0	0	15,069	15,072
Arizona	35,448	2,140	47,729	48,115	498,292	320,419
Arkansas	14,616	1,045	15,676	8,274	169,384	103,578
California	372,584	13,129	468,817	256,555	3,031,686	1,960,550
Colorado	17,147	1,965	24,535	22,627	186,359	128,400
Connecticut	17,953	1,434	18,839	19,405	239,537	183,128
Delaware	1,803	12	1,877	740	12,921	8,745
District of Columbia	11,313	23	21,585	521	141,588	51,733
Florida	110,742	9,081	132,557	79,955	686,712	448,218
Georgia	59,822	8,386	79,211	63,973	656,048	473,573
Guam	17	1	1,994	(44)	20,896	14,802
Hawaii	3,250	27	3,593	2,282	37,820	21,147
Idaho	5,431	501	6,247	3,722	43,758	27,710
Illinois	78,308	5,372	124,824	73,681	950,949	648,769
Indiana	26,617	2,004	37,722	21,279	240,227	144,115
Iowa	8,003	1,142	8,525	9,911	98,637	66,525
Kansas	14,416	1,364	16,720	14,859	134,323	92,684
Kentucky	20,559	1,615	28,361	22,823	328,916	209,890
Louisiana	30,588	6,614	33,657	65,075	408,758	307,276
Maine	7,880	253	11,211	6,097	61,836	40,365
Maryland	20,393	571	33,901	9,000	186,504	116,784
Massachusetts	27,852	4,049	30,974	25,140	336,544	222,654
Michigan	47,036	3,266	53,186	44,793	590,765	380,805
Minnesota	23,646	1,730	27,016	20,792	236,170	164,652
Mississippi	28,619	4,694	33,286	29,939	345,448	230,887
Missouri	15,048	1,652	27,031	26,894	387,031	281,592
Montana	4,133	1,072	4,171	3,455	38,396	28,184
Nebraska	8,332	1,267	9,615	7,758	71,463	53,948
Nevada	2,109	81	6,188	5,253	44,311	33,022
New Hampshire	2,154	89	2,406	1,472	18,290	10,993
New Jersey	45,135	1,805	52,675	41,999	491,976	326,804
New Mexico	26,983	2,758	45,897	29,521	410,764	233,572
New York	156,540	11,202	209,323	160,032	2,832,931	1,787,922
North Carolina	51,021	5,455	70,357	51,277	435,931	306,733
North Dakota	4,223	587	4,314	5,217	34,872	26,682
Northern Mariana Islands	1,042	194	1,042	868	10,707	7,715
Ohio	62,453	4,263	73,454	64,777	695,173	453,526
Oklahoma	43,145	6,991	52,892	44,305	402,480	279,184
Oregon	13,045	773	14,989	11,102	127,743	82,752
Pennsylvania	53,548	6,455	60,224	57,382	689,676	536,474
Puerto Rico	4,342	992	4,572	9,287	258,851	155,976
Rhode Island	5,413	843	5,649	6,138	64,826	47,946
South Carolina	32,238	1,172	50,779	38,874	444,871	294,494
South Dakota	6,602	480	7,112	5,803	49,399	26,224
Tennessee	24,763	4,141	28,207	40,561	475,417	340,279
Texas	111,807	7,927	166,779	184,370	2,117,202	1,543,963
Utah	16,415	33	18,041	14,100	108,955	66,864
Vermont	1,850	99	1,859	1,453	17,618	10,822
Virgin Islands	667	140	8,141	6,335	33,019	25,323
Virginia	28,922	2,805	32,445	29,748	272,954	201,346
Washington	25,545	1,908	29,359	20,324	227,915	149,092
West Virginia	7,628	197	8,991	8,898	89,626	53,883
Wisconsin	13,936	604	23,248	20,042	265,267	187,923
Wyoming	4,240	115	6,975	7,656	29,918	19,221
TOTAL	\$ 1,789,005	\$ 141,635	\$ 2,332,495	\$ 1,807,961	\$ 21,255,132	\$ 14,297,507

Note: Funding Year data as of 12/31/2007. Funding Year: July 1, 2007-June 30, 2008. Numbers may not add due to rounding.

Schools and Libraries Program · Funding Year 2007 Statistics
(unaudited · in thousands)

SCHOOLS AND LIBRARIES COMMITMENTS BY DISCOUNT BAND

Discount Band	Telecom Services	Internet Access	Internal Connections	Basic Maintenance	TOTAL	% of Total
20-29%	\$ 1,933	\$ 579	<i>Internal Connections and Basic Maintenance were only funded at the 80% level and above.</i>		\$ 2,512	0.14%
30-39%	6,716	932			7,648	0.43%
40-49%	96,260	22,523			118,783	6.64%
50-59%	108,071	27,434			135,505	7.57%
60-69%	172,723	40,938			213,662	11.94%
70-79%	211,063	68,231			279,294	15.61%
80-89%	319,235	60,195	\$ 240,885	\$ 44,052	664,368	37.14%
90%	75,831	23,905	216,896	50,602	367,235	20.53%
TOTAL	\$ 991,832	\$ 244,738	\$ 457,781	\$ 94,654	\$ 1,789,005	100.00%

SCHOOLS AND LIBRARIES COMMITMENTS BY APPLICANT TYPE

Type	Applications Funded	Commitments	% of Applications	% of Total
School/Library Consortium	655	\$ 137,485	2.08%	7.68%
School District	19,125	\$ 1,437,690	60.63%	80.36%
School	7,658	\$ 144,436	24.28%	8.07%
Library/Library Consortium	4,105	\$ 69,394	13.01%	3.88%
TOTAL	31,543	\$ 1,789,005	100.00%	100.00%

SCHOOLS AND LIBRARIES COMMITMENTS BY RURAL/URBAN TYPE

Type	Applications Funded	Commitments	% of Applications	% of Total
Urban	7,140	\$ 159,469	22.64%	8.91%
Rural	4,486	\$ 41,168	14.22%	2.30%
N/A*	19,917	\$ 1,588,368	63.14%	88.78%
TOTAL	31,543	\$ 1,789,005	100.00%	100.00%

*Note: "N/A" applies to either FCC Forms 471 that did not include this information, or to FCC Forms 471 shared by both rural and urban entities (that therefore could not be classified). Note: Funding Year data as of 12/31/2007. Funding Year: July 1, 2007-June 30, 2008.

Rural Health Care Program · Commitments and Disbursements
(unaudited · in thousands)

State	C O M M I T M E N T S				D I S B U R S E M E N T S	
	Funding Year 2007	Calendar Year 2007	Total 1/1/98-12/31/07		Calendar Year 2007	Total 1/1/98-12/31/07
Alabama	\$ 481	\$ 45	\$ 481		\$ 24	\$ 402
Alaska	4,880	25,833	127,965		19,875	102,289
American Samoa	0	0	0		0	0
Arizona	193	1,490	8,362		1,196	6,276
Arkansas	861	58	861		41	637
California	32	492	2,807		282	2,266
Colorado	0	113	1,063		108	981
Connecticut	0	0	0		0	0
Delaware	0	0	0		0	0
District of Columbia	0	0	0		0	0
Florida	3	425	1,648		207	938
Georgia	327	988	2,154		718	1,338
Guam	0	0	0		0	0
Hawaii	65	285	1,918		182	1,688
Idaho	917	164	917		142	749
Illinois	118	628	2,420		447	1,820
Indiana	18	167	790		275	550
Iowa	58	474	1,701		412	1,457
Kansas	110	618	2,911		649	2,225
Kentucky	51	221	2,798		207	2,554
Louisiana	6	245	970		594	834
Maine	289	52	289		23	125
Maryland	0	0	0		0	0
Massachusetts	95	8	95		52	89
Michigan	23	806	4,908		593	4,142
Minnesota	80	1,708	8,025		1,457	6,974
Mississippi	9	86	804		206	755
Missouri	61	145	779		144	628
Montana	1	520	3,902		555	3,631
Nebraska	208	1,911	6,784		1,460	5,626
Nevada	2	58	437		62	348
New Hampshire	73	7	73		7	70
New Jersey	0	0	0		0	0
New Mexico	52	371	2,242		350	1,819
New York	6	78	338		55	258
North Carolina	14	190	1,306		189	1,208
North Dakota	6	734	4,168		508	3,671
Northern Mariana Islands	0	0	0		0	0
Ohio	79	177	915		60	631
Oklahoma	3	298	1,036		205	755
Oregon	337	68	337		68	272
Pennsylvania	4	44	326		74	243
Puerto Rico	0	0	0		0	0
Rhode Island	0	0	0		0	0
South Carolina	2	27	228		47	213
South Dakota	393	931	4,392		1,101	3,617
Tennessee	74	168	678		101	470
Texas	4	658	2,826		940	1,817
Utah	3,412	757	3,412		770	2,755
Vermont	130	247	386		130	243
Virgin Islands	49	97	688		54	553
Virginia	550	883	2,644		527	1,575
Washington	8	71	590		53	473
West Virginia	10	85	643		159	497
Wisconsin	4	2,754	8,084		1,900	6,264
Wyoming	889	192	889		172	764
TOTAL	\$ 14,987	\$ 46,377	\$ 221,990		\$ 37,381	\$ 177,490

Note: Funding Year data as of 12/31/2007. Funding Year: July 1, 2007-June 30, 2008. Numbers may not add due to rounding.

Universal Service Fund Disbursements by Program · Calendar Year 2007
(unaudited · in thousands)

State	High Cost	Low Income	Rural Health Care	Schools & Libraries	Total 2007 Disbursements	Total All Programs 1998-2007
Alabama	\$ 111,459	\$ 6,524	\$ 24	\$ 39,411	\$ 157,418	\$ 1,148,108
Alaska	161,356	17,305	19,875	14,135	212,670	1,239,390
American Samoa	3,370	59	0	0	3,429	30,083
Arizona	70,919	22,278	1,196	48,115	142,508	1,043,315
Arkansas	126,294	2,950	41	8,274	137,559	1,164,304
California	100,638	272,482	282	256,555	629,957	5,716,764
Colorado	82,051	3,310	108	22,627	108,096	829,190
Connecticut	1,264	4,645	0	19,405	25,313	249,277
Delaware	245	230	0	740	1,216	16,077
District of Columbia	0	670	0	521	1,192	61,332
Florida	82,308	20,912	207	79,955	183,383	1,286,663
Georgia	112,636	9,375	718	63,973	186,702	1,536,448
Guam	10,792	298	0	(44)	11,046	87,553
Hawaii	51,864	574	182	2,282	54,902	196,090
Idaho	54,069	3,795	142	3,722	61,728	511,825
Illinois	67,267	10,414	447	73,681	151,809	1,208,421
Indiana	71,734	5,705	275	21,279	98,993	635,453
Iowa	126,109	6,033	412	9,911	142,465	736,406
Kansas	222,477	3,038	649	14,859	241,023	1,309,366
Kentucky	96,931	8,262	207	22,823	128,222	844,665
Louisiana	163,131	3,711	594	65,075	232,511	1,302,901
Maine	36,567	8,337	23	6,097	51,023	418,394
Maryland	4,207	628	0	9,000	13,834	153,494
Massachusetts	2,299	11,933	52	25,140	39,424	424,206
Michigan	67,241	15,385	593	44,793	128,012	974,070
Minnesota	132,444	7,629	1,457	20,792	162,322	1,007,727
Mississippi	283,404	5,147	206	29,939	318,696	1,885,727
Missouri	98,235	7,416	144	26,894	132,690	1,095,914
Montana	77,282	4,355	555	3,455	85,647	673,502
Nebraska	106,178	2,509	1,460	7,758	117,905	534,806
Nevada	29,634	3,102	62	5,253	38,051	294,277
New Hampshire	9,365	580	7	1,472	11,424	112,739
New Jersey	1,664	13,428	0	41,999	57,091	430,208
New Mexico	67,388	14,864	350	29,521	112,123	792,502
New York	52,542	36,209	55	160,032	248,838	2,786,986
North Carolina	77,872	13,973	189	51,277	143,310	999,034
North Dakota	84,771	4,092	508	5,217	94,589	521,958
Northern Mariana Islands	1,630	116	0	868	2,614	35,653
Ohio	46,205	32,188	60	64,777	143,231	1,008,512
Oklahoma	129,185	49,976	205	44,305	223,671	1,391,781
Oregon	80,970	5,705	68	11,102	97,845	740,065
Pennsylvania	55,552	15,944	74	57,382	128,952	1,093,268
Puerto Rico	135,026	16,888	0	9,287	161,201	1,468,770
Rhode Island	31	4,076	0	6,138	10,245	92,509
South Carolina	74,186	3,685	47	38,874	116,792	973,049
South Dakota	93,098	6,876	1,101	5,803	106,879	548,601
Tennessee	52,295	8,829	101	40,561	101,786	839,701
Texas	245,735	89,411	940	184,370	520,456	3,919,371
Utah	24,454	3,733	770	14,100	43,057	279,314
Vermont	31,408	3,081	130	1,453	36,072	294,956
Virgin Islands	25,685	29	54	6,335	32,103	273,859
Virginia	79,549	2,304	527	29,748	112,128	825,295
Washington	97,505	16,062	53	20,324	133,944	1,033,469
West Virginia	63,345	733	159	8,898	73,135	672,063
Wisconsin	141,853	10,096	1,900	20,042	173,891	1,149,409
Wyoming	61,014	873	172	7,656	69,715	458,111
TOTAL BY PROGRAM	\$4,286,733	\$822,761	\$ 37,381	\$ 1,807,961	\$6,954,836	\$ 51,356,929

Note: Numbers may not add due to rounding.

USAC's 2007 BOARD OF DIRECTORS

USAC's Board of Directors is appointed by the Chairman of the FCC. Board members represent the telecommunications and information services industry, state telecommunications regulators, consumer advocates, low-income consumers, rural health care providers, schools, and libraries. The USAC Board of Directors has five standing committees: Audit Committee, Executive Committee, High Cost and Low Income Committee, Rural Health Care Committee, and Schools and Libraries Committee.

USAC is required to disclose Board member expenses for events other than attendance at USAC Board meetings. During 2007, there were no expenses incurred for Board members other than travel to USAC Board meetings. To learn more about USAC's Board of Directors, go to: www.usac.org/about/governance/board-directors.

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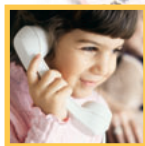
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